AWS Certified AI Business Strategist

(AIB-C01)

Unofficial Practice Exam
Question Set



…by someone who sat and passed the beta exam in its first week!

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AWS Certified AI Business Strategist (AIB-C01)

Full Practice Question Set

Version 2

This is an **unofficial** practice question set for the new **AWS Certified AI Business Strategist (AIB-C01)** exam: 85 questions matching the live exam's item count, distributed across the four content domains in proportion to the official blueprint weights, and pitched at the length and difficulty of the official sample questions. Every question is written against a specific task statement in the exam guide, so you can trace any gap in your results back to the blueprint.

Version 2 is a full rewrite. Having sat the exam, I found Version 1 (which I never released, but used for my own preparation) too short and too clear-cut. The live exam uses longer scenario stems, often one to two paragraphs with a bulleted list of constraints, and asks you to choose between options that are all partly defensible. This set is pitched at that level.

Answers are at the back with concise rationales, so you can attempt each domain cold before checking your reasoning.

Important: these are original practice questions written against the public exam guide and its blueprint objectives. **They are not actual exam content, are not drawn from the live item bank, are not endorsed by AWS, and do not reproduce any question I encountered.** Exam content is confidential and protected by NDA, as yours will be too. No practice set guarantees a pass; **use this alongside the official preparation materials on AWS Skill Builder.**

How the 85 questions are distributed

The blueprint weights from the exam guide, applied to 85 items:

- Domain 1: AI Fundamentals and Literacy — 24% → 20 questions
- Domain 2: AI Strategy and Business Value Creation — 28% → 24 questions
- Domain 3: AI Governance and Responsible AI Leadership — 24% → 20 questions
- Domain 4: Business Readiness, Leadership, and AI Transformation — 24% → 21 questions

Question formats you'll encounter

- **Multiple choice.** One correct answer among four options. Distractors are plausible: expect to choose between a good answer and the best answer, and between two answers that are both imperfect. Watch for qualifiers in the stem such as MOST, LEAST, FIRST, or BEST, because they decide which of multiple reasonable options is correct.
- **Multiple response.** Two or more correct answers from five or more options.

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Domain 1: AI Fundamentals and Literacy (24%)

Question 1.1 · Multiple choice · select ONE

A legal services firm uses a generative AI (GenAI) foundation model on Amazon Bedrock to produce clause-by-clause summaries of commercial lease agreements for paralegals. Leases range from 10 to 180 pages. The integration, built by a systems integrator, passes the full text of each lease into a single prompt. After two months in use, the paralegal team reports that summaries of short leases are reliable, but summaries of long leases consistently omit renewal, termination, and make-good clauses, which in commercial leases are almost always located in the final schedules. The integration logs show no errors or failed requests.

- Every clause type must appear in the summary; omissions create professional liability.
- Per-lease processing cost may rise by no more than 20 percent over the current cost.
- A processing time of up to three minutes per lease is acceptable.
- The firm has no machine learning (ML) engineers on staff.

Which explanation and remediation should the business strategist put forward as MOST likely to resolve the problem within the constraints?

A. The model has learned to favor opening clauses; commission fine-tuning on a set of long leases so that the model learns to weight the final schedules appropriately.

B. The prompt does not call out the missing clause types; add an explicit instruction to prioritize renewal, termination, and make-good clauses and re-run the long leases.

C. The model's context window is too small for long leases; move to a model with the largest available context window and continue passing each lease as one prompt.

D. Long leases exceed the context window and the trailing text is being cut off; split each lease into sections, summarize each section, then consolidate the section summaries.

Question 1.2 · Multiple choice · select ONE

A telecommunications provider operates a generative AI (GenAI) troubleshooting assistant for home broadband customers. At the start of each session, the assistant is given a set of instructions covering persona, the regulator-mandated wording it must use before any plan change, and the rule that it must never promise a technician visit.

Customer complaints and compliance audits show a consistent pattern: in sessions that run beyond roughly 40 exchanges, often when a customer tries several fixes over an hour, the assistant stops using the mandated wording and occasionally promises technician visits. Sessions shorter than 20 exchanges are fully compliant. The underlying model was not changed, the evaluation suite still passes, and some customer sessions can legitimately run for several hours.

What is the MOST likely cause, and what should the business strategist recommend to the product team?

A. The model has drifted since launch; roll back to the previous model version and expand the evaluation suite to include compliance checks on long sessions.

B. The model has not been adapted to the domain; fine-tune it on transcripts of compliant long sessions so that the required behavior is embedded.

C. The growing conversation history has pushed the opening instructions out of the context window; re-inject the instructions each turn and summarize older exchanges.

D. The model's context window is too small for long sessions; move to a model with a much larger window so that complete sessions remain within the prompt.

Question 1.3 · Multiple choice · select ONE

An insurance company ran a successful proof of concept (POC) of a generative AI (GenAI) policy assistant for its 900 field agents. The POC included the 30 most frequently referenced policy documents in every prompt and answered accurately. The program lead now proposes to scale the assistant to the full policy library by moving to a foundation model with a very large context window and including the entire library in every request. The business strategist reviews the following facts:

- The policy library contains about 4,000 documents, roughly 12 million tokens in total, and about 60 documents change each week.
- Expected volume is 50,000 queries per day at a consumption-based, per-token price.
- Answers must reflect a document change within 24 hours.
- Agents abandon the assistant if a response takes longer than five seconds.

Which approach should the strategist recommend as the MOST appropriate way to scale the assistant?

A. Adopt the large-context model as proposed and offset the per-token cost by committing to a Savings Plan sized to the expected daily query volume.

B. Fine-tune the model on the full policy library so that no documents are sent in the prompt, and retrain weekly to capture changed documents.

C. Use retrieval augmented generation (RAG): index the library, retrieve only the passages relevant to each query, and re-index documents as they change.

D. Keep the POC design but expand the curated document set to the 200 most referenced policies, adding further documents as agents report coverage gaps.

Question 1.4 · Multiple choice · select ONE

An electricity distributor must compensate residential customers whose supply was interrupted for more than 24 continuous hours, at an amount fixed by the regulator's tariff schedule. Today, customer service staff manually check outage records, tariff type, and claim timing for each request, which takes 15 minutes per claim and produces inconsistent outcomes that the regulator has criticized.

- The outage records and customer tariff data are complete, structured, and held in the company's systems of record.
- The regulator requires that every decision be reproducible and explainable on request.
- The Chief Information Officer has announced an "AI-first" program, and an integrator has proposed a generative AI (GenAI) agent that reads each claim, consults the outage data, and decides the payment.

The business strategist has been asked for a recommendation.

Which approach should the strategist recommend as MOST appropriate for this process?

A. Deploy the proposed GenAI agent with a human reviewer sampling 10 percent of decisions, so that the process is automated while the regulator's explainability concern is addressed.

B. Implement rule-based automation that encodes the tariff conditions against the outage and customer records, and consider AI later for free-text claims that fall outside the rules.

C. Train a classification model on the past three years of manual decisions so that the model reproduces the staff's judgment consistently across every new claim.

D. Deploy a recommendation system that ranks incoming claims by likelihood of eligibility so that staff process the strongest claims first and reduce the backlog.

Question 1.5 · Multiple choice · select ONE

A pharmaceutical distributor ships temperature-sensitive products under a regulatory rule that any shipment exceeding 8 degrees Celsius for more than 30 continuous minutes must be quarantined and inspected before release. Each shipment carries a sensor that logs the temperature every minute, and the logs are complete and reliable. Quarantine decisions are currently made by warehouse staff reading the logs on arrival, which causes delays and occasional missed excursions.

The Vice President of Operations has asked for a machine learning (ML) anomaly-detection solution, and a vendor has proposed one that learns normal temperature patterns from historical shipments. An auditor has noted that quarantine decisions must be deterministic and reproducible. The company also wants, at some later point, to predict which shipments are at risk of an excursion before it happens.

What should the business strategist recommend FIRST?

A. Adopt the vendor's anomaly-detection model, because learned patterns catch subtle problems that a fixed threshold would miss, and have it also enforce the 8-degree rule.

B. Use a generative AI (GenAI) model to read each sensor log, summarize any excursions, and recommend whether the shipment should be quarantined.

C. Deploy the anomaly-detection model to flag shipments and have warehouse staff apply the regulatory threshold manually to each flagged shipment.

D. Automate the quarantine decision with a rule that applies the regulatory threshold to each log, and evaluate ML separately for the future excursion-prediction goal.

Question 1.6 · Multiple choice · select ONE

A retail bank receives about 20,000 written customer complaints each month and must route each one to one of 12 handling teams defined by the financial ombudsman. Misrouting delays resolution and counts against the bank's regulatory service standards. The bank is choosing between proposals for automating the routing step:

- Three years of complaints, each with the team that ultimately handled it, are stored in the complaints system.
- The 12 categories are fixed by the ombudsman and change rarely.
- The ombudsman can ask the bank to explain why any complaint was routed as it was.
- The bank wants routing consistency of at least 95 percent and a per-complaint cost of under one cent.

Which solution type should the business strategist recommend as MOST appropriate for the routing step?

A. A generative AI (GenAI) model prompted with the 12 category definitions, so that each complaint is categorized from the definitions without any training.

B. A GenAI model with retrieval augmented generation (RAG) over the complaint-handling manual, so that routing follows the documented procedures.

C. A supervised classification model trained on the three years of labeled complaints, with low-confidence cases routed to a human reviewer.

D. An AI agent that reads each complaint, selects the handling team, drafts the acknowledgment, and opens the case in the complaints system.

Question 1.7 · Multiple choice · select ONE

A regional hardware retail chain with 40 stores and 25,000 stock-keeping units (SKUs) wants machine learning (ML) demand forecasting to reduce stockouts, which it estimates cost it 4 percent of revenue each year. The Chief Financial Officer wants forecasts for every SKU within three months. A data audit found the following:

- Point-of-sale history is complete for the last 14 months only; a system migration lost the three prior years.
- Stock-on-hand counts are taken weekly, and about 30 percent of SKUs have missing counts in any given week.
- Stockouts are not recorded, so a week of zero sales may mean no demand or no stock on the shelf.
- Promotions are logged in store-level spreadsheets with inconsistent formats.
- About 300 SKUs account for 60 percent of revenue and have the most complete records.

Which approach should the business strategist recommend as the MOST appropriate way to start?

A. Forecast the 300 high-revenue SKUs where the history is most complete, start recording stockouts and promotions now, and expand coverage as data accumulates.

B. Forecast all 25,000 SKUs now, treating missing stock counts and zero-sales weeks as zero demand so that the model is trained on a complete dataset.

C. Defer the forecasting program until three years of comparable history exist, and run fixed reorder-point rules across every SKU in the meantime.

D. Use a generative AI (GenAI) model to infer the missing stock counts and stockout weeks from the available records before training the forecasting model.

Question 1.8 · Multiple choice · select ONE

An industrial parts distributor sells 180,000 catalog items to 40,000 business customers through an online portal. The commercial director wants to raise average order value by suggesting complementary items at checkout, for example gaskets and fasteners that are commonly needed with a pump. Five years of order history are available, the catalog is well structured, and new items are added every month. There are no labeled records of which items are "complementary"; category managers have maintained a few hundred hand-written pairings that are frequently out of date. Suggestions should be personalized to each customer's purchasing patterns, must not require ongoing manual maintenance, and will be measured by uplift in attachment rate.

Which solution type should the business strategist recommend as MOST appropriate?

A. A rule-based "frequently bought together" list for each product, curated by category managers and refreshed each quarter from the order history.

B. A generative AI (GenAI) assistant that reads the product description and suggests related parts based on its general knowledge of industrial equipment.

C. A classification model that predicts whether each customer will place an order in the next 30 days, so that sales staff can contact likely buyers.

D. A recommendation system trained on the five years of order history, with simple catalog-based rules as a fallback for newly added items.

Question 1.9 · Multiple choice · select ONE

A corporate travel management company runs a generative AI (GenAI) chatbot that answers travelers' questions about company travel policy, using retrieval augmented generation (RAG) over the policy documents. When flights are disrupted, travelers still call an agent, who checks alternatives in two airline systems, applies the client's policy, rebooks, updates the expense system, and emails the traveler.

The Chief Operating Officer wants an "AI agent" to handle most rebookings end to end, escalating only exceptions such as unaccompanied minors or fares above a client's threshold.

The Chief Technology Officer asks the business strategist to explain, in business terms, what capabilities the proposed agent must have that the existing chatbot does not. The company has no appetite for the agent to override a client's policy under any circumstances.

Which answer BEST describes the distinguishing capabilities?

A. The agent must act in external systems through tool use and autonomously sequence the multi-step rebooking toward its goal, within defined escalation limits.

B. The agent must generate more fluent and persuasive responses, which requires a larger foundation model with a bigger context window than the chatbot uses.

C. The agent must retrieve the client's travel policy with RAG so that every rebooking it proposes is grounded in the documented rules for that client.

D. The agent must follow a scripted workflow that calls the airline systems in a predetermined order for every disruption, with a human approving each step.

Question 1.10 · Multiple choice · select ONE

A food and beverage manufacturer's AI governance board applies a higher risk tier, with stricter oversight and testing, to any system classified as an AI agent. The accounts payable (AP) function has received four vendor proposals for handling invoice exceptions, and each vendor describes its product as "agentic." The business strategist is asked to determine which proposal should be classified as an AI agent for governance purposes, based on the core capabilities that define an agent rather than on vendor labels.

Which proposal should the strategist classify as an AI agent?

A. A system that extracts invoice fields with document extraction, posts them to the finance system in a fixed sequence, and routes low-confidence results to a review queue.

B. A system that is given the goal of resolving an exception, chooses among finance lookups, supplier emails, and contract checks, and iterates until resolved or escalates.

C. A generative AI (GenAI) assistant that answers AP clerks' questions about invoice status by retrieving records from the finance system before responding.

D. A classification model that scores each invoice for duplicate-payment risk, combined with a rule that holds any invoice scoring above a set threshold.

Question 1.11 · Multiple choice · select ONE

A hospital group wants a machine learning (ML) model that predicts which outpatient appointments will be no-shows, so that clinics can offer those slots to waitlisted patients. The Chief Operating Officer has stated that funding will be approved only if the model is "at least 99 percent accurate," citing the cost of double-booking a patient who then does attend. The business strategist reviews the proof of concept (POC) results:

- About 12 percent of appointments across the group are no-shows.
- Clinic staff currently predict no-shows from experience and are right about 62 percent of the time.
- The POC model, trained on two years of appointment history, is right 81 percent of the time.
- A model that simply predicts every patient will attend would be right 88 percent of the time.

What should the strategist say to the COO?

A. Commit to the 99 percent target and fund an expanded data collection and fine-tuning program, because the gap from 81 percent is a matter of more training data.

B. Explain that accuracy alone misleads given the 12 percent base rate, and propose a target based on the cost of each error type against the 62 percent baseline.

C. Accept the 99 percent target but propose that clinic staff review every single prediction, so that the combined human-and-model process meets the threshold before funding.

D. Recommend replacing the ML model with a rule-based reminder schedule for all patients, because no predictive model will reliably reach 99 percent accuracy on patient behavior.

Question 1.12 · Multiple response · select TWO

A regional bank plans to train a machine learning (ML) model on ten years of historical lending records to support decisions on small business loan applications. The data lives in a modern, well-governed data warehouse that the project team can access without delay. A data profiling exercise reports the following:

- Repayment outcomes are recorded only for applications that were approved; declined applications have no outcome.
- The applicant income field is missing in 18 percent of records, almost all of them self-employed applicants.
- Branch codes were restructured four years ago and older records were mapped to new codes with some inconsistencies.
- Lending policy and fee structures changed two years ago.
- The ten-year span covers both an economic downturn and a period of growth.

Which TWO findings should the business strategist raise as MOST likely to undermine the model's outcomes if left unaddressed? (Choose TWO.)

A. The ten-year span mixes economic conditions, so records older than five years should be discarded before training to keep the data consistent.

B. Outcomes exist only for approved loans, so the model learns nothing about applicants the old process declined and will reproduce that selection pattern.

C. Missing income is concentrated in self-employed applicants, so dropping or crudely filling those records would bias the model against that group.

D. The policy change two years ago means only the most recent two years are usable, which leaves too few repayment outcomes to train on.

E. Branch code inconsistencies make the dataset unusable for training until an enterprise-wide data lineage program has been completed across the whole bank.

Question 1.13 · Multiple choice · select ONE

A property insurer wants to train a machine learning (ML) model to recommend premium loadings for new home policies, using eight years of underwriter decisions as the training data. A review by the pricing team found that for most of that period, underwriters applied higher loadings in certain postcodes based on informal local knowledge rather than on claims experience, and the insurer's own claims data does not support those loadings. The head of underwriting argues that the model will be "more objective than people" because it is driven by data rather than opinion. The business strategist is asked for a view before the project is approved. The project already has executive sponsorship and a budget allocated for the current quarter.

Which statement should the strategist make?

A. The model will be more objective than the underwriters, because training on eight years of data averages out the opinions of any individual underwriter.

B. Adding more years of historical decisions to the training set will dilute the postcode effect until it no longer influences the model's recommendations.

C. The model will learn and scale the historical postcode pattern, so the training data needs review and the outputs need fairness testing before use.

D. Training on claims outcomes instead of underwriter decisions will remove the pattern and eliminate any need to test the model's outputs for fairness.

Question 1.14 · Multiple choice · select ONE

A consumer electronics brand uses a generative AI (GenAI) model to draft product descriptions for its online store. The marketing manager reports that the drafts vary widely in tone and length, sometimes describe features the product does not have, and often need rewriting. The team's prompt consists of a single line: "Write a product description for" followed by the product name. There is no budget for model customization, the catalog launch is two weeks away, and the brand has an approved library of several hundred past descriptions along with a structured specification sheet for every product.

What should the business strategist recommend the team do FIRST?

A. Restructure the prompt to specify the role, tone, and length, supply the specification sheet as the only source of facts, and include two approved descriptions as examples.

B. Fine-tune the model on the library of approved descriptions so that the brand's tone and factual style are embedded, then return to the one-line prompt.

C. Build a retrieval augmented generation (RAG) index over the product catalog so that the model retrieves the correct specifications for each product it describes.

D. Move to a larger foundation model with a longer context window, which produces more consistent writing and is less prone to inventing product features.

Question 1.15 · Multiple choice · select ONE

A management consulting firm wants a generative AI (GenAI) assistant for its consultants, who currently search a shared drive by hand; partners estimate this costs each consultant two hours a week. The business strategist has gathered the requirements:

- Answer questions about the firm's 2,000 internal methodology documents, which are updated throughout each month.
- Cite the specific document that supports each answer, because consultants must verify before client use.
- Reflect document updates within one business day.
- Write in the firm's distinctive house style, which partners say is hard to describe but easy to recognize.
- Launch within eight weeks with a modest budget.

The technology team has proposed three adaptation techniques: prompt engineering, retrieval augmented generation (RAG), and fine-tuning. Which combination should the strategist recommend as the BEST fit for the requirements?

A. Fine-tune the model on the methodology documents so that both the knowledge and the house style are embedded, and schedule a monthly retraining run.

B. Use RAG for the methodology knowledge and citations, apply style instructions and examples in the prompt, and consider fine-tuning for style only if prompting falls short.

C. Place the most frequently used methodology documents directly in the prompt alongside style instructions, and add further documents as consultants report gaps in coverage.

D. Fine-tune the model for house style now, and place each methodology document in the prompt as consultants request it, so that no index needs to be maintained.

Question 1.16 · Multiple choice · select ONE

A parcel logistics company deployed a machine learning (ML) model 14 months ago that predicts each delivery's arrival window. At launch it was within the promised window 91 percent of the time. Operations managers now complain that customers are receiving unreliable windows, and customer satisfaction scores for delivery communication have fallen for two quarters. The data science team reports that the model code has not changed, the automated tests still pass, and no errors are being logged. Since launch, the company has:

- Opened three new depots and closed one.
- Shifted its customer mix toward large retailers with later cut-off times.
- Replaced the driver app, which changed how scan events are recorded.

What should the business strategist recommend as the MOST appropriate response?

A. Because the model code is unchanged and the tests pass, direct the operations managers to review route planning and driver practices for the cause.

B. Retrain the model on the most recent three months of deliveries and redeploy it before the upcoming peak season to restore the launch accuracy.

C. Commission a replacement model that includes depot and customer-type features, and retire the current model when the replacement is ready.

D. Measure live accuracy against the 91 percent baseline and the changes in input data, then set a monitored retraining trigger so drift is caught earlier.

Question 1.17 · Multiple choice · select ONE

An accounting firm with 600 staff surveyed its employees and found that 23 different generative AI (GenAI) tools are in use, most of them consumer products accessed with personal accounts, and that some staff have pasted client financial data into them. The managing partners want to ban all GenAI use immediately. The IT director wants to approve one enterprise tool and quietly block the rest at the network level. Staff say the tools save them several hours a week and that a ban will push usage onto personal phones. The firm's client contracts require that client data be processed only with approved providers under contract. The firm has no written policy on AI tool use, and no tool has yet been assessed by its risk committee.

What should the business strategist recommend?

A. Block all GenAI tools until an enterprise tool has been procured and contracted, then reopen access once staff have completed responsible AI training.

B. Publish a classification of tools as approved, under evaluation, or blocked, with criteria tied to data sensitivity, and approve a contracted tool for immediate use.

C. Allow staff to continue using the tools they prefer, but require mandatory training on what client data may and may not be entered into any GenAI tool.

D. Approve the single enterprise tool, block all others at the network level, and treat any further tool request as out of scope until the annual technology review.

Question 1.18 · Multiple choice · select ONE

An airline's Chief Financial Officer has approved a seat-based subscription to a generative AI (GenAI) platform and assumes that one team using that platform can deliver three initiatives on the roadmap: predicting which aircraft components will fail from maintenance sensor history, drafting personalized service-recovery emails to passengers after disruptions, and building crew rosters that satisfy union rules and legal rest limits.

The business strategist is asked whether the assumption holds before budgets are set. The maintenance team holds six years of sensor and failure records, and the crew rules change whenever a union agreement is renegotiated. A single team is also expected to maintain all three initiatives once they are live.

Which statement BEST describes how the strategist should characterize the three initiatives?

A. Email drafting is GenAI; failure prediction is predictive machine learning (ML) on sensor history; rostering is rule-based optimization. Each needs different data, skills, and tooling.

B. All three produce outputs from inputs, so a single GenAI platform with well-designed prompts can serve them, which keeps licensing and the required skills consolidated.

C. Failure prediction and rostering are both predictive ML on structured data and can share a team; email drafting is GenAI and needs a separate platform and budget.

D. Email drafting and rostering are GenAI, since both produce new artifacts from constraints; failure prediction is the only initiative that needs a trained ML model.

Question 1.19 · Multiple choice · select ONE

A medical device manufacturer is embedding machine learning (ML) in its diagnostic products. Two pressures have reached the board. Large hospital customers in several countries now ask in supplier questionnaires for independent assurance that the company manages its AI responsibly. Separately, the engineering, quality, and regulatory teams describe the same ML systems in different terms, which is slowing design reviews. The board wants a single standards-based response, achievable within 12 months on a limited budget, and asks the business strategist which of the ISO/IEC AI standards the company should orient around.

Which recommendation BEST addresses both pressures?

A. Implement an AI management system aligned to ISO/IEC 42001 and pursue certification, using ISO/IEC 23053 as the shared vocabulary for describing ML systems within it.

B. Seek certification against ISO/IEC 23053 first because it is specific to ML systems, then add ISO/IEC 42001 once the engineering vocabulary has stabilized.

C. Treat ISO/IEC 23053 and ISO/IEC 42001 as interchangeable and adopt whichever one the company's largest hospital customer names in its supplier questionnaire.

D. Rely on the AWS Well-Architected Framework Responsible AI Lens for customer assurance, since an ISO certification cannot be completed within the 12-month window.

Question 1.20 · Multiple choice · select ONE

A motor insurer wants to triage incoming claims so that simple claims are fast-tracked and complex ones go to senior adjusters. Each claim arrives with a structured claim form, the adjuster's free-text notes from the first call, and photographs of the damage.

A vendor has proposed a model that uses only the structured form fields, arguing that the notes and photographs are unstructured and "too unreliable to model," and has offered a 10-week delivery. The claims managers insist that the strongest indicators of complexity, such as disputed liability and injury mentions, appear almost exclusively in the notes. The insurer wants a first release within one quarter and a measurable reduction in misrouted claims.

Which recommendation should the business strategist make?

A. Accept the structured-only scope so that the first release ships on time, and treat the notes and photographs as a future enhancement if accuracy proves insufficient.

B. Reject the proposal and require a generative AI (GenAI) model over the notes and photographs, since that is where the claims managers say the complexity signal is.

C. Run a short analysis of which form fields and note contents actually predict complexity, then scope the first release to structured fields plus extracted note features.

D. Proceed with the structured-only model but have adjusters recode their notes into new structured fields on each call so that the signal becomes available to it.

Domain 2: AI Strategy and Business Value Creation (28%)

Question 2.1 · Multiple choice · select ONE

A regional insurer must begin screening every new claim for indicators of fraud under a regulatory requirement that takes effect in five months. Claims that are flagged are routed to a human investigator, so a false positive costs investigator time but does not affect the customer's outcome. The Chief Operating Officer (COO) has asked a business strategist to compare three paths:

- A vendor fraud-screening product available through AWS Marketplace that can be live in eight weeks; the vendor reports 82 percent detection on comparable portfolios
- A custom model built on Amazon SageMaker AI by the insurer's data science team; the team estimates 9 to 12 months and projects 90 percent or better detection
- A consulting partner who would co-develop a custom model in roughly seven months, with skills transfer to the internal team
- The regulator requires that screening be in place by the deadline but does not prescribe a detection rate
- The insurer's three data scientists are currently committed to a pricing project the board considers strategic

Which recommendation is MOST appropriate?

A. Build the custom model internally, reassigning the data science team from the pricing project so the higher detection rate is achieved from day one

B. Buy the vendor product now to meet the deadline, and revisit a custom build once production data reveals whether detection shortfalls carry material cost

C. Engage the consulting partner so the insurer gets a custom model near the deadline while building internal skills for later enhancements

D. Request a formal extension from the regulator so the custom model can be delivered at the projected detection rate without disrupting the pricing team

Question 2.2 · Multiple choice · select ONE

A specialty chemicals manufacturer wants to automate quality classification of batch samples by using images from inspection cameras. Misclassifying a defective batch as acceptable releases product to customers and triggers recall costs that average several hundred thousand dollars per event, so the plant quality director has set a hard requirement: the solution must correctly reject at least 99 percent of defective batches before any human inspector is removed from the line.

Two vendors of computer vision products have run trials on the plant's labeled sample library. The best vendor result rejected 96 percent of defective batches, and both vendors said the plant's unusual substrate makes further improvement unlikely without retraining on plant-specific data that the vendors would need to own.

The manufacturer has a four-person applied machine learning (ML) team that has delivered two production models, a well-labeled library of 40,000 sample images, and no fixed deadline. A custom model on Amazon SageMaker AI is estimated at seven months and roughly three times the vendor's first-year cost.

What should the business strategist recommend?

A. Build a custom model on the plant's own labeled image library, because the vendors cannot meet the recall-driven accuracy threshold

B. Buy the best-performing vendor product and keep a human inspector on the line to catch the defective batches that the model misses

C. License the vendor product and negotiate a clause that requires the vendor to reach 99 percent within twelve months or refund the fees

D. Run a longer vendor trial with a larger sample set, because 96 percent on a limited trial may understate the achievable production accuracy

Question 2.3 · Multiple choice · select ONE

A public hospital network wants to deploy a generative AI (GenAI) assistant that drafts discharge summaries from clinician notes. Health data regulations in the network's jurisdiction require that patient records never leave the country and that the organization can demonstrate where every copy of the data is processed. The network's technology team is small, has no machine learning (ML) engineers, and operates an existing AWS environment in an in-country Region. The Chief Information Officer (CIO) has received three proposals:

- A software-as-a-service (SaaS) vendor with the strongest clinical accuracy in trials, hosted in another country, offering contractual data-handling guarantees
- A regional systems integrator that would deploy a foundation model on Amazon Bedrock inside the network's own in-country AWS account and operate it under a managed service
- An internal build on Amazon SageMaker AI after hiring two ML engineers, estimated at 14 months
- The clinical lead wants a working assistant within six months and the SaaS vendor is the only option with a published accuracy benchmark

Which path BEST satisfies the constraints?

A. Partner with the regional integrator to run the assistant in the network's own in-country account, accepting that accuracy must be validated during a controlled pilot

B. Buy the SaaS product on the strength of its clinical accuracy and rely on the contractual data-handling guarantees to satisfy the residency obligation

C. Begin the internal build and recruit the ML engineers now, because only a fully owned solution gives the network provable control of patient data

D. Buy the SaaS product for a six-month pilot with de-identified records only, and move to the partner option if the regulator objects to the arrangement

Question 2.4 · Multiple choice · select ONE

A 60-person online education company wants an AI assistant that answers student questions about course content and enrollment. The company has two software developers, no machine learning (ML) expertise, and course materials that are well organized but change every term. The Chief Executive Officer (CEO) wants to understand the three-year picture before committing. A business strategist has gathered the following:

- Vendor product through AWS Marketplace: setup in six weeks; seat-based pricing totals about $180,000 over three years; answer accuracy of 85 percent in a trial on the company's content; limited ability to change tone or escalation behavior
- Custom retrieval augmented generation (RAG) assistant on Amazon Bedrock built by a contractor: four months; about $220,000 over three years including contractor time and consumption charges; full control of behavior; the two developers would need to maintain it
- The company expects student numbers to double in two years and sees the assistant's personality as part of its brand
- No launch deadline, but the support team is already overloaded this term

Which approach is MOST appropriate?

A. Deploy the vendor product now to relieve support, and plan a custom build in year two once usage data shows which behaviors matter

B. Commission the custom build now, because its three-year cost is only modestly higher and it delivers the control over tone and escalation that the brand requires

C. Deploy the vendor product and commit to it for the full three years, because the company's lack of ML skills makes maintaining a custom assistant unrealistic

D. Delay any deployment until the two developers have completed ML training, so the company can build and own the assistant without a contractor dependency

Question 2.5 · Multiple choice · select ONE

A logistics company's customer operations director requests a generative AI (GenAI) agent to resolve delivery complaints, citing a 40 percent rise in complaint volume over the past year. A business strategist reviews the complaint data before writing the business case. The review finds that 70 percent of complaints concern deliveries that were re-scheduled after a depot changed its cut-off time for next-day dispatch without updating the customer-facing booking system; customers are promised a date the depot can no longer meet. A further 15 percent relate to a single carrier partner whose contract was renewed without service-level terms. Agents currently handle each complaint by apologizing and manually re-booking, which takes about four minutes.

What should the strategist recommend?

A. Deploy the GenAI agent to handle re-booking conversations, since four minutes per complaint is the largest controllable cost in the current process

B. Pilot the GenAI agent on the 15 percent of complaints attributable to the carrier partner, where root-cause fixes are outside the company's control

C. Build a predictive model that forecasts which deliveries are likely to be missed so that agents can contact customers before a complaint arises

D. Correct the booking system cut-off data and renegotiate carrier service terms first, then reassess whether residual complaint volume justifies an AI investment

Question 2.6 · Multiple choice · select ONE

A utility company's billing team asks for a machine learning (ML) model to determine which residential customers qualify for a hardship discount. The current manual review takes staff about two days per application and the backlog is growing. A business strategist examines the eligibility criteria and finds that they are fully specified in a published tariff schedule: household income below a threshold, enrollment in one of four government programs, and account in good standing for 90 days. Every input is available as a structured field in the billing system or a government verification feed. Decisions are subject to appeal, and the regulator requires that each outcome be explainable by reference to the published criteria. The team notes that an ML model could also detect customers who do not apply but are probably eligible.

Which recommendation is MOST appropriate?

A. Train a classification model on past approved and rejected applications so that decisions reflect how experienced staff have interpreted the criteria

B. Deploy a generative AI (GenAI) assistant that reads each application and drafts a recommendation with a written justification for a reviewer to approve

C. Implement rules-based automation that applies the published criteria to the structured inputs, and consider ML later only for outreach to likely-eligible non-applicants

D. Build a predictive model to identify probably-eligible customers and apply the discount proactively, which removes the application backlog entirely

Question 2.7 · Multiple choice · select ONE

The sales director of an industrial equipment distributor wants a generative AI (GenAI) tool to write customer relationship management (CRM) records, because field representatives rarely log visits and the pipeline reports are unreliable. A business strategist interviews representatives and managers and summarizes the findings:

- Representatives say logging a visit takes under three minutes but they see no benefit because managers never use the records
- Commission is calculated from a separate order system, so CRM completeness has no effect on pay
- Two regional managers run their teams from spreadsheets and have told staff not to bother with the CRM
- A previous attempt to simplify the CRM form had no measurable effect on logging rates
- The vendor's GenAI add-on can draft a record from a short voice note in about 20 seconds

Which recommendation BEST addresses the pipeline-reliability problem?

A. Treat this as an adoption and management problem: make CRM records the source for pipeline reviews and manager decisions, then revisit whether drafting assistance adds value

B. Adopt the GenAI add-on, because reducing logging effort from three minutes to 20 seconds removes the main friction that representatives cite

C. Build a predictive model on order-system data to estimate the pipeline directly, bypassing the CRM records that representatives will not complete

D. Link a share of commission to CRM completeness and deploy the GenAI add-on at the same time so the incentive and the tool reinforce each other

Question 2.8 · Multiple choice · select ONE

A mid-size regional bank has funding for one new AI initiative this fiscal year and asks a business strategist to rank four candidates. The bank's stated strategic priority is reducing cost-to-serve in retail operations while a core-banking migration consumes most engineering capacity for the next nine months. The portfolio summary is:

- Initiative 1, marketing offer personalization: estimated value $2.1 million per year; data readiness low (customer data split across three legacy systems); feasibility medium; strategic fit weak
- Initiative 2, generative AI (GenAI) assistant for branch staff policy questions: value $0.6 million per year; data readiness high (policies already in a managed document repository); feasibility high; strategic fit strong
- Initiative 3, automated loan document extraction: value $1.4 million per year; data readiness medium; feasibility low until the core migration completes; strategic fit strong
- Initiative 4, trading desk anomaly detection: value $1.8 million per year; data readiness high; feasibility medium; strategic fit weak

Which initiative should the strategist recommend funding FIRST?

A. Initiative 1, because it has the highest annual value and the data consolidation it requires will benefit future initiatives

B. Initiative 3, because it combines strong strategic fit with the second-highest value and the migration delay can be absorbed within the fiscal year

C. Initiative 2, because it is deliverable now with available data and capacity, and it directly serves the stated cost-to-serve priority

D. Initiative 4, because high data readiness and value make it the most likely to deliver measurable return within the year

Question 2.9 · Multiple choice · select ONE

A hotel group ran a six-month pilot of a machine learning (ML) model that sets room rates at 12 properties. The steering committee must decide whether to scale, pause or terminate. The strategist's review shows:

- Revenue per available room rose 6.2 percent at pilot properties against 1.1 percent at comparable control properties
- Revenue managers overrode 38 percent of recommendations in month one, falling to 9 percent by month six
- The model underperformed at the two resort properties during a regional festival it had no data for
- Monthly run cost is $14,000 against incremental revenue of roughly $210,000 per month across the pilot
- The group's 140 remaining properties include 30 resort-style sites with event-driven demand

What should the strategist recommend?

A. Scale to city properties in waves now, and add event-calendar data and a longer pilot for resort sites before extending to them

B. Pause the rollout until the model demonstrates reliable performance at the resort properties, since 30 similar sites represent material risk

C. Scale to all 140 properties at once, because the return is clear and the override rate shows that revenue managers have accepted the model

D. Terminate the pilot and reopen a vendor evaluation, because a model that fails on event-driven demand has a structural data limitation

Question 2.10 · Multiple choice · select ONE

A telecommunications company has funded a generative AI (GenAI) initiative for 14 months to draft responses to regulatory information requests. It is one of six initiatives in the AI portfolio. At the quarterly portfolio review, the Chief Strategy Officer asks whether to scale, pause or terminate it.

The evidence: the drafting accuracy target was met eight months ago; the legal team uses the tool for 90 percent of requests; measured time saving is 11 hours per request against a baseline of 30; the annual run cost is $95,000 against a value estimate of $410,000 based on legal staff time. However, the company announced last month that it will exit the regulated market segment that generates these requests within 18 months, and the two other markets it serves have different regulators and request formats. The initiative team proposes extending the tool to the other markets, which would require about $150,000 in adaptation work.

Which recommendation is MOST appropriate?

A. Scale the tool to the other two markets now, since the proven time saving and high adoption indicate the approach will transfer to the new regulators

B. Terminate the initiative immediately, because the business it supports is being wound down and continued spending has no return beyond the exit date

C. Pause the initiative and hold the adaptation budget until the market exit is complete, then decide whether the other markets justify investment

D. Keep the tool in its current scope until the exit, and treat the other markets as a new initiative with its own business case

Question 2.11 · Multiple choice · select ONE

An online travel agency runs its customer-facing booking assistant on a generative AI (GenAI) platform from a vendor whose contract ends in seven months. The agency plans to move the assistant to a foundation model on Amazon Bedrock to reduce cost and consolidate on its existing cloud provider. The assistant handles 35 percent of all customer contacts and peaks during two holiday booking periods, one of which falls inside the contract window.

A business strategist is asked which considerations should shape the transition plan. The technical team reports that prompts and guardrails will need to be rewritten for the new model, that six months of conversation logs are stored only in the current vendor's platform, and that the current vendor charges an export fee per record.

Which transition approach BEST protects business continuity?

A. Complete the migration in one cutover before the holiday peak, so the agency pays only one platform's charges during its most expensive period

B. Run both platforms in parallel on a share of live traffic outside the peak, and cut over only after parity with the current baseline is demonstrated

C. Migrate immediately and rebuild the prompts and guardrails on the new platform in production, keeping the remaining contract months as a fallback if quality drops noticeably

D. Delay the migration until the vendor contract has expired, so that conversation logs can be exported in full without paying the per-record fee

Question 2.12 · Multiple choice · select ONE

A property management company handles 9,000 maintenance requests per month through a call center that triages each request by urgency and trade. It plans to transition triage to a machine learning (ML) classification model. A readiness review finds:

- Historical requests are recorded as free text, and the urgency label was added by agents only for the 60 percent of requests that were escalated
- Triage errors on urgent requests (gas, water, security) carry legal exposure under tenancy law
- The call center is contracted until the end of next year, so there is no immediate cost pressure
- The vendor model scored 88 percent agreement with agents on a sample that excluded unlabeled requests

What should the strategist recommend as the FIRST step?

A. Have agents label a representative sample of all request types, including non-escalated ones, and run the model in shadow mode before any handover

B. Transition non-urgent trades to the model now and keep agents on urgent categories, since the legal exposure is confined to urgent requests

C. Deploy the model with a human review of every urgent classification, which neutralizes the legal exposure while realizing cost savings immediately

D. Renegotiate the call center contract to a shorter term first, so that the business case for the transition is not undermined by paying for both

Question 2.13 · Multiple choice · select ONE

A consumer electronics company has asked a business strategist to identify the AI use case with the greatest impact for next year's plan. The company's stated objective is to improve gross margin, which has fallen for three consecutive years because of warranty costs and product returns.

Four functions have submitted candidates: software development proposes a generative AI (GenAI) coding assistant projected to raise developer throughput by 15 percent; marketing proposes GenAI campaign content to lift conversion by 2 percent; customer operations proposes an assistant that drafts responses to support tickets, cutting handle time by 25 percent; and research and development (R&D) proposes a model that analyzes return and repair records to identify design defects before the next product generation ships.

Returns and warranty claims cost 4.5 percent of revenue, and 60 percent of them trace to three recurring defect types.

Which candidate maps MOST directly to the stated business outcome?

A. The software development coding assistant, because faster development lowers engineering cost per product and shortens release cycles

B. The customer operations assistant, because warranty and return handling is the largest support-ticket category and drives handle time

C. The R&D defect analysis model, because it targets the root cause of the warranty and return costs

D. The marketing content use case, because higher conversion increases revenue, which flows through to gross margin

Question 2.14 · Multiple choice · select ONE

A government services agency is deploying a generative AI (GenAI) assistant for 400 case officers who respond to citizen inquiries. The executive sponsor has asked a business strategist to define the key performance indicators (KPIs) for the initiative.

Executive priorities are a measurable budget saving and better service, and the sponsor also wants to capture benefits that the finance team will not count in a cost case, such as officer workload and citizen experience.

The draft KPI set proposed by the project team contains only two measures: average handling time per inquiry and the number of prompts submitted to the assistant each week.

Which KPI set BEST reflects both tangible and intangible benefits?

A. Cost per inquiry resolved, assistant response accuracy, number of prompts per officer per week, and volume of inquiries handled per month

B. Average handling time, cost per inquiry resolved, number of officers trained, and weekly active users of the assistant

C. Cost per inquiry resolved and first-contact resolution rate as tangible measures, with citizen satisfaction and officer-reported workload as intangible measures

D. Officer satisfaction, citizen satisfaction, assistant adoption rate, and the share of inquiries where the assistant's draft was accepted

Question 2.15 · Multiple response · select THREE

A wholesale distributor launched a machine learning (ML) demand forecasting model two months ago to reduce excess inventory across 14 warehouses. The financial benefit will not be visible until inventory turns are measured at year-end, but the Chief Financial Officer (CFO) wants a monthly view of whether the project is on track so that funding can be adjusted early. A business strategist is asked to select leading indicators that predict whether the initiative will deliver its target.

Which indicators are MOST useful as leading indicators of success? (Choose THREE.)

A. Share of planners who use the model's forecast as the basis for weekly orders

B. Rate at which planners override the forecast, tracked by product category each week

C. Year-end reduction in inventory carrying cost compared with the prior financial year

D. Completeness and timeliness of the sales and stock data feeds the model depends on

E. Annual improvement in inventory turns as reported in the audited financial statements

F. Write-off value of obsolete stock recorded at the close of the financial year

Question 2.16 · Multiple choice · select ONE

A medical device distributor plans to launch a generative AI (GenAI) assistant in eight weeks to help its 70 account managers prepare for customer meetings. The vice president of sales wants to be able to show the board, six months after launch, that the assistant has increased productivity.

The project team proposes measuring the time account managers spend on meeting preparation by surveying them three months after launch and asking how much faster they feel they are.

The customer relationship management (CRM) system records meeting counts and opportunity stages, but preparation time has never been tracked. The team argues that adding instrumentation now will delay launch by three weeks.

What should the business strategist recommend?

A. Launch on schedule and use the post-launch survey, since a three-week delay costs more than the uncertainty in a self-reported estimate

B. Capture a pre-launch baseline now, even if launch slips, by sampling preparation time and recording current CRM meeting and conversion rates for comparison

C. Launch on schedule and derive the baseline afterwards from CRM meeting counts, because those records already exist for the period before launch

D. Launch to half the account managers first and use the other half as a control group, which removes the need for any pre-launch measurement

Question 2.17 · Multiple choice · select ONE

A professional services firm has run a generative AI (GenAI) document review assistant for six months. The project team has prepared a return on investment (ROI) summary for the executive committee that reports a large positive return. The Chief Financial Officer (CFO) has asked a business strategist to review the summary before it is presented. The strategist finds the following:

- The benefit figure counts every hour the assistant is estimated to have saved, valued at the fully loaded hourly rate of the staff involved
- No baseline of review time per document was captured before the assistant was introduced; the saving is based on staff recollection of how long reviews used to take
- The investment figure includes the subscription and usage charges but not the three months of staff time spent on implementation, prompt design, and training
- Client satisfaction scores for reviewed documents have risen, but this is mentioned only in a footnote because it cannot be given a dollar value

Which revision should the strategist recommend FIRST so that the ROI summary is credible to the executive committee?

A. Remove the client satisfaction result from the summary entirely, because an intangible benefit without a dollar value weakens an ROI argument when presented alongside financial figures.

B. Replace the hourly rate with a lower, conservative figure so that the benefit is not overstated, and present the result as a range rather than a single ROI number.

C. Add the implementation staff time to the investment figure, because understated cost is the error an executive committee is most likely to notice and challenge in the meeting.

D. Separate the benefit into hours that were actually converted into billable work or avoided hiring and hours that were simply absorbed, because unrealized time savings are not a financial return.

Question 2.18 · Multiple choice · select ONE

A media company launched a generative AI (GenAI) assistant on Amazon Bedrock that helps 300 editorial staff draft and rewrite articles. Adoption has been faster than expected, and the monthly bill has doubled twice in the last four months. Finance has flagged the trend and asked a business strategist to propose cost controls before the next budget cycle. The strategist's review finds:

- Usage charges are driven by the volume of text sent to and returned from the model, and some teams routinely paste entire archives of previous articles into each request for context
- About a third of requests are experimental: staff testing prompts, reformatting the same draft repeatedly, or using the assistant for tasks it was not intended for
- There is no visibility of cost by team, so no editor knows what their group's usage costs
- The company has no appetite to restrict access, because the productivity gains are real and leadership has promoted the tool publicly

Which approach would MOST effectively bring the cost under control while preserving the productivity gains?

A. Set a hard monthly spending cap on the assistant so that usage stops when the budget is reached, and ask teams to prioritize their most important requests earlier in each month.

B. Restrict the assistant to a defined set of approved editorial tasks and require managers to approve any request that falls outside the list before it is sent.

C. Give each team visibility of its own usage and cost, publish guidance on how much context to include in a request, and review the heaviest usage patterns with those teams.

D. Move the assistant to a smaller, cheaper model for all staff, because a reduction in per-request cost will offset the growth in request volume without changing how people work.

Question 2.19 · Multiple choice · select ONE

A retail bank launched a generative AI (GenAI) assistant for contact center agents on Amazon Bedrock four months ago under consumption-based pricing. Monthly token spend has grown from $18,000 to $61,000 as the assistant was extended to new agent teams and as prompts were lengthened to include full customer history.

The Chief Financial Officer (CFO) has asked for a cost plan before the planned rollout to 1,200 more agents, which the project team expects will triple usage again. The CFO wants spend to be predictable and controlled but has said that cutting the assistant's value to agents is not acceptable.

Which approach to cost planning is MOST appropriate?

A. Set a hard monthly token cap at current spend and queue requests that exceed it, so the rollout proceeds without increasing cost

B. Move the workload to provisioned capacity immediately to lock in a fixed monthly price before the rollout triples usage and spend becomes harder to predict

C. Build a smaller in-house model so that per-token cost falls, funding the development from the savings projected over the next three years

D. Forecast spend per agent under growth scenarios, apply controls such as prompt trimming and cheaper-model routing, then set budget alerts and review monthly

Question 2.20 · Multiple choice · select ONE

A mid-size commercial insurer asks a business strategist to assess where AI could give it an advantage over competitors. The competitive analysis finds:

- The two largest competitors have deployed generative AI (GenAI) chat assistants for policy servicing; customers rate them as adequate and not a reason to switch
- No competitor offers underwriting decisions faster than five business days for mid-size commercial risks; brokers consistently cite speed as the top reason they place business elsewhere
- The insurer holds 20 years of claims data for its niche in specialty construction, which competitors do not have at the same depth
- The insurer's underwriting team is small but experienced, and leadership is willing to fund one flagship initiative

Which initiative is MOST likely to create a competitive advantage?

A. Deploy a GenAI policy-servicing assistant to match the two largest competitors before the gap in customer experience widens further

B. License a general-purpose underwriting risk model from a vendor to shorten decision times across all commercial lines at once

C. Use the proprietary construction claims data to accelerate underwriting decisions in the specialty niche where brokers value speed

D. Build a GenAI assistant for underwriters that summarizes submissions, which improves productivity without changing the decision process

Question 2.21 · Multiple choice · select ONE

A manufacturer of industrial air compressors sells units through distributors and earns most of its profit on spare parts and scheduled servicing. Over the past two years it has fitted sensors to 70 percent of its installed base and now holds continuous operating data for about 30,000 machines.

A machine learning (ML) model developed with a partner can predict component failure 10 to 20 days in advance with reliable accuracy. The leadership team sees three ways to use this: sell the predictions as an add-on subscription to existing service contracts; use the predictions internally to reduce warranty cost and schedule technicians more efficiently; or offer customers guaranteed compressed-air uptime priced per unit of air delivered, with the manufacturer owning the equipment and maintenance.

The Chief Executive Officer (CEO) asks which option transforms the business model rather than improving the current one.

Which option represents a business-model transformation enabled by AI?

A. Selling failure predictions as a subscription add-on, because it creates a new recurring revenue line from existing sensor data

B. Offering guaranteed uptime priced per unit of air delivered, because it changes what the customer buys and who carries operating risk

C. Using predictions to cut warranty cost and schedule technicians efficiently, because it converts the data asset directly into measurable margin improvement

D. Bundling predictions into the distributors' existing service contracts, because it extends the current channel without requiring new commercial terms

Question 2.22 · Multiple choice · select ONE

A specialty online grocer has achieved an 18 percent reduction in food waste over two years by using a machine learning (ML) demand forecasting model. Two competitors have since announced similar models built on the same vendor platform.

The board asks a business strategist whether the advantage is sustainable or has already been competed away. The strategist's review finds that the model is not unusual in itself, but it is retrained weekly on the grocer's own data, which now includes 30 months of substitution choices, delivery-slot behavior and feedback on freshness; this feedback loop improves forecasts with every order cycle.

The grocer's operations team has also redesigned supplier ordering around the forecasts, with a turnaround time competitors have not matched.

Which statement BEST describes the sustainability of the grocer's advantage?

A. The advantage is temporary, because competitors with the same vendor platform will reach the same forecasting accuracy within a comparable period

B. The advantage is sustainable, because the proprietary data feedback loop and the redesigned operating process compound in ways the platform alone cannot

C. The advantage is sustainable only if the grocer switches to a custom model, since a shared vendor platform cannot differentiate competitors

D. The advantage is temporary, because an 18 percent waste reduction is an operational gain that competitors can copy by hiring the same vendor

Question 2.23 · Multiple choice · select ONE

A regional freight railway operator is deciding how much to invest in AI over the next three years. A business strategist characterizes the industry and competitive position:

- Industry AI maturity is low: most operators are in experimentation, and no competitor has deployed AI at scale
- Switching costs for shippers are high and contracts run three to five years, so the operator is not at risk of losing customers quickly
- Predictive maintenance for locomotives is a proven use case elsewhere in heavy industry, with vendor products available
- The operator has a small data team, patchy sensor coverage and leadership that is cautious about unproven spending
- A larger national operator is rumored to be building an in-house AI capability

Which investment posture is MOST appropriate?

A. Invest as a first mover with a large multi-year program, because low industry maturity means the window to establish a lead is open now

B. Adopt a fast-follower posture: fund a focused predictive maintenance deployment using proven products while building data foundations, and monitor the national operator

C. Defer AI investment until the national operator's results are public, because high switching costs mean there is no penalty for waiting

D. Spread a modest budget across many small experiments in every function so the organization learns broadly before choosing where to concentrate

Question 2.24 · Multiple choice · select ONE

A building supplies wholesaler proposes a machine learning (ML) forecasting model to replace manual stock replenishment across 22 branches, with a business case built on reducing stock-outs and excess inventory by 20 percent. A business strategist reviews the data before the investment committee meets and finds:

- Stock-outs were never recorded as events; the system shows only zero sales on days when stock was unavailable, which is indistinguishable from days of no demand
- A merger 18 months ago changed stock-keeping unit (SKU) codes for 40 percent of products, and the mapping between old and new codes is incomplete
- Sales history before the merger is otherwise complete for five years
- Branch managers currently adjust orders using local knowledge that is not captured anywhere

What should the strategist recommend to the investment committee?

A. Approve the full business case, because five years of sales history is ample and the model can be retrained as data quality improves after launch

B. Reject the proposal, because forecasting demand without recorded stock-out events makes any model fundamentally unreliable regardless of how much sales history exists

C. Approve a reduced first phase that records stock-outs, completes the SKU mapping and pilots forecasting on unaffected SKUs, with the target reassessed afterwards

D. Approve the business case on condition that branch managers review every forecast, so their local knowledge compensates for the gaps in the historical data

Domain 3: AI Governance and Responsible AI Leadership (24%)

Question 3.1 · Multiple choice · select ONE

A property and casualty insurer processes 1.2 million motor claims a year. Adjusters currently review every claim, and the average time to first payment is 11 days. The data science team has built two machine learning (ML) models to triage incoming claims. A gradient-boosted model predicts whether a claim is clearly payable with 94% precision but offers no usable explanation of individual predictions. A simpler scorecard model reaches 86% precision and produces a short list of reason codes for every prediction.

The insurer's regulator requires that any adverse decision communicated to a policyholder be accompanied by the principal reasons for that decision. The claims director wants the larger accuracy gain because every percentage point of fast-tracked claims saves adjuster capacity. The compliance officer is concerned about explainability. Neither model will be allowed to deny a claim outright; the question is how each model's output is used.

Which approach BEST resolves the conflict between the accuracy objective and the explainability requirement?

A. Deploy the higher-accuracy model to fast-track clearly payable claims only, and route every other claim to an adjuster who owns any adverse decision and the reasons given for it.

B. Deploy the scorecard model for all triage decisions so that reason codes are always available, and accept the lower precision as the cost of meeting the regulatory requirement.

C. Deploy the higher-accuracy model for all triage decisions and add a post-hoc explanation tool that generates reason codes whenever a claim is flagged for further scrutiny.

D. Run both models in parallel, use the higher-accuracy model when they agree, and fall back to the scorecard model's reason codes whenever the two models disagree on a claim.

Question 3.2 · Multiple choice · select ONE

A regional bank's marketing team has built a model that selects which deposit and savings product to promote to each customer in the mobile app. In a four-week test, the full model lifted new product openings by 9% over the existing rules. A version that excludes customer age and postal code, which an internal review identified as close proxies for protected characteristics, lifted openings by 6%. The bank's fair lending obligations formally apply to credit products, and the legal team has confirmed that deposit offers are not covered by those rules in the bank's home state.

The head of retail banking wants the full model live before the next quarterly campaign in three weeks. The Chief Risk Officer has asked the AI strategist for a recommendation that the board's risk committee will accept.

What should the strategist recommend?

A. Launch the full model with monitoring of offer rates across demographic groups and remove the proxy features only if a measurable disparity appears in the first campaign.

B. Launch the full model but give customers an option in the app's privacy settings to decline personalized offers, which reduces the fairness exposure to those who opt in.

C. Launch the reduced model, record the forgone 3% uplift as a deliberate governance decision, and require fairness testing before any proxy feature is reintroduced.

D. Pause the launch until the legal team confirms whether the proxy features are lawful for deposit products in every state where the bank operates before choosing a model.

Question 3.3 · Multiple choice · select ONE

A hospital network wants to use a machine learning (ML) model that predicts which outpatients are likely to miss an appointment. The operations team plans to double-book slots held by patients with a high no-show score so that clinics can see more patients during the winter peak, which begins in five weeks. If a predicted no-show does attend, the patient waits longer for care.

The responsible AI review found that no-show history differs sharply across patient groups, and full fairness testing across all subgroups will take three weeks of data team time. A reduced test covering the two highest-risk subgroups can be completed in one week. The Chief Medical Officer will not accept a launch that creates longer waits for already underserved patients, and the Chief Operating Officer will not accept missing the winter peak.

Which approach BEST balances the launch timeline against the fairness concern?

A. Launch on schedule with double-booking enabled, run the full fairness test on live data in parallel, and roll back if the test shows a disparity in waiting times.

B. Delay the launch by three weeks so that the full fairness test is complete before any patient's appointment is affected by the model's predictions.

C. Run the reduced test before launch, use predictions only to trigger reminder calls until the full test is complete, then enable double-booking for clinics that pass.

D. Launch on schedule with double-booking limited to clinics where historical no-show rates are similar across patient groups, and expand once the full test is done.

Question 3.4 · Multiple choice · select ONE

An electricity utility is two weeks from launching a generative AI (GenAI) assistant that answers customer questions about outages through its website and phone line. The assistant uses a foundation model on Amazon Bedrock. A pre-launch responsible AI review recorded the following findings:

- The assistant does not yet state that customers are talking to an AI system; a disclosure banner is scheduled for the launch build.
- Conversation transcripts are retained for 90 days for quality review; the retention policy has been approved by the privacy office.
- When asked for a restoration time, the assistant gives a confident specific estimate even when no estimate has been issued by the grid operations team.
- The assistant's tone varies between formal and casual across similar questions.

Customers who depend on powered medical equipment at home are among the heaviest users of the outage line. The strategist must advise which finding should block the launch if it is not resolved.

Which finding represents the GREATEST responsible AI concern?

A. The missing AI disclosure, because transparency about automated interaction is a baseline expectation and the banner is not yet in the current build.

B. The 90-day transcript retention, because conversations about outages at home addresses are personal data and retention should be minimized by default.

C. The inconsistent tone, because robustness requires that similar inputs produce consistent outputs and the variance signals uncontrolled model behavior.

D. The fabricated restoration estimates, because customers reliant on medical equipment will make safety decisions based on an answer the system cannot support.

Question 3.5 · Multiple choice · select ONE

A manufacturing company is starting its first AI program with six candidate use cases. The first to begin is a worker safety model that will use data from wearable sensors issued to 800 factory employees; sensor rollout starts next month and model development follows three months later. The program lead has proposed that responsible AI practices be applied at the gate between proof of concept (POC) and production so that experimentation is not slowed down. The works council has already asked how the sensor data will be used.

When should the strategist recommend that responsible AI practices be integrated into the program?

A. At use case intake, before sensor rollout, so that data collection scope, consent, and oversight requirements are defined before any irreversible step is taken.

B. At the POC-to-production gate, as proposed, with a lightweight checklist added to the POC phase so that teams are aware of the criteria they will be assessed against.

C. After the first POC has demonstrated value, so that governance effort is spent only on use cases that will proceed and the works council can be shown a working system.

D. At the start of model development, when the data science team can assess the collected data for bias and define the explainability approach with real inputs.

Question 3.6 · Multiple choice · select ONE

A hotel group is buying a dynamic room pricing model from a vendor rather than building one. The project plan has five phases:

- Discovery and requirements (complete)
- Vendor shortlist and selection (in progress, decision due in three weeks)
- Integration with the booking platform (eight weeks)
- User acceptance testing by revenue managers (four weeks)
- Launch across 140 properties

The group's governance policy requires that pricing decisions affecting consumers be explainable to a customer service agent on request and that pricing not vary by any protected characteristic. The discovery phase did not capture either requirement, and the two shortlisted vendors differ in whether their models expose the factors behind a given price. The program manager has suggested that the responsible AI team join at user acceptance testing, when there will be real prices to assess.

At which point should the responsible AI requirements be integrated to ensure governance by design?

A. During integration, when the technical team can assess what explanation data the chosen vendor's model actually makes available through its interface.

B. During user acceptance testing, as suggested, because revenue managers can then evaluate real prices for explainability and check for variation by group.

C. During vendor selection, as scored evaluation criteria, because the choice of vendor determines whether explainability is possible at all.

D. By reopening discovery to rewrite the requirements, pausing vendor selection until the responsible AI team has signed off on the full requirement set.

Question 3.7 · Multiple choice · select ONE

A telecommunications provider has deployed a generative AI (GenAI) assistant that handles about 40,000 customer chats a day covering billing questions, plan changes, and fault reports. The assistant can apply a credit of up to 25 dollars and schedule a technician visit. In its first month, the assistant promised a refund that was outside policy in a small number of chats and gave an incorrect outage cause to several customers.

The compliance team has asked for human oversight of the assistant's interactions. The contact center has 60 quality analysts, each able to review roughly 80 transcripts a day. Average chat handling time with the assistant is under four minutes, and customer satisfaction scores have improved since launch.

Which oversight approach is MOST appropriate given the volume and the incidents observed?

A. Assign the quality analysts to review every transcript within 24 hours and reverse any out-of-policy commitment before the customer's next bill is issued.

B. Require a human agent to approve each assistant response before it is sent to the customer for the chats that involve credits or technician scheduling.

C. Review a random 2% sample of transcripts each day and extend the sample whenever the monthly incident count exceeds an agreed threshold.

D. Apply guardrails that block commitments outside policy, route chats about credits or disputed causes to a human, and sample the remainder for quality review.

Question 3.8 · Multiple choice · select ONE

A property management company is introducing AI across its residential operations. The product team has listed the decisions the AI systems will make:

- Rank maintenance requests by urgency for the dispatch queue
- Draft replies to routine tenant emails about building facilities
- Recommend whether a rental application is approved or declined
- Issue a late-payment notice when rent is overdue by more than five days
- Suggest rent adjustments at lease renewal for each unit

The Chief Operating Officer wants automation wherever it is safe but has asked the strategist for a defensible rule for deciding which decisions require a human in the loop before any action is taken. The company expects a tenant advocacy group to scrutinize the program once it is public.

Which approach should the strategist recommend for deciding where human review is required?

A. Classify each decision by its effect on a person's housing or money and by how reversible it is, requiring human approval where either is high.

B. Require human approval for every listed decision for the first six months and remove it for each decision once its measured accuracy exceeds an agreed target.

C. Require human approval whenever the model's confidence score for a decision falls below a set threshold, and allow automated action above the threshold.

D. Require human approval for decisions that are communicated directly to tenants, and automate any decision that only affects internal operational queues and staff.

Question 3.9 · Multiple response · select TWO

A pharmaceutical company has built an internal generative AI (GenAI) assistant that uses retrieval augmented generation (RAG) over its regulatory submission archive so that staff can ask questions about prior filings. A review of the first 500 answers found the following:

- In 6% of answers the assistant cited a document section that does not exist in the archive.
- In 4% of answers the assistant gave guidance on dosing or adverse event reporting that was not drawn from any retrieved document.
- Staff rated 85% of answers as useful, and average time to find a precedent fell from 40 minutes to 6 minutes.

The head of regulatory affairs wants to keep the assistant in use but needs safeguards that address the two failure types without removing the productivity gain.

Which TWO safeguards should the strategist recommend? (Choose TWO.)

A. Require every answer to display the retrieved source passages, and flag any answer that has no supporting passage for verification before it is used.

B. Define escalation criteria so that questions about dosing or adverse event reporting are routed to the regulatory affairs team instead of being answered.

C. Fine-tune the foundation model on the full submission archive so that the model has memorized the documents and no longer needs to retrieve them.

D. Expand the assistant's context window so that the complete archive is included with every query and no relevant section can be missed.

E. Restrict access to the assistant to senior regulatory staff, who are best placed to recognize an incorrect citation when they see one.

Question 3.10 · Multiple choice · select ONE

A freight logistics company uses a machine learning (ML) model to generate spot-market price quotes for shipments. Last quarter the model underpriced a category of long-haul loads for three weeks, and the company lost about 400,000 dollars before a sales manager noticed. In the post-incident review, the data science lead said the model performed to its specification, the commercial director said the quotes were generated without anyone in sales approving them, and the IT director said the system was running as deployed. No one can say who was responsible for noticing the problem.

Which accountability structure should the strategist recommend?

A. Make the commercial director accountable for quote outcomes as the process owner, with data science accountable for model performance against agreed specifications.

B. Make the data science lead accountable for all outcomes of the model, because the team built it and is best placed to detect when its behavior changes.

C. Create a central AI center of excellence (COE) that takes over ownership of every model in production so that accountability no longer sits in any single function.

D. Form a pricing steering committee of sales, data science, and IT that jointly owns the model's outcomes and meets monthly to review its performance.

Question 3.11 · Multiple choice · select ONE

A retail group operates four brands, each with its own product and technology teams. Each brand has started AI projects independently: one has a generative AI (GenAI) shopping assistant in production, two are piloting demand forecasting, and one has signed a vendor contract that duplicates a tool another brand already licenses.

An internal audit found that no two brands apply the same responsible AI checks, and that nobody at group level could list the AI systems in production. Group leadership values the brands' autonomy and speed and does not want to centralize delivery. Two of the brands share a customer loyalty program, so a responsible AI failure at one brand would affect the others.

The Chief Executive has asked for a governance structure that fixes the inconsistency without taking ownership away from the brands.

Which structure BEST meets these requirements?

A. Establish a group AI center of excellence (COE) that owns delivery of all AI use cases, with the brands acting as internal customers who submit requirements.

B. Establish a cross-functional AI governance council with legal, risk, data, and brand leaders that sets group standards, while each brand owns its use cases and outcomes.

C. Keep the current brand-level ownership and add an annual internal audit of AI systems so that inconsistencies are identified and reported to group leadership.

D. Appoint a group Chief AI Officer who reviews and approves every AI project before it starts and maintains the group-wide inventory of systems in production.

Question 3.12 · Multiple choice · select ONE

An online education provider is preparing to launch an AI system that scores written assessments and flags possible academic misconduct for students in three regions. Legal counsel has summarized the regulatory position:

- Region 1 treats AI used in educational assessment as high-risk, requiring a documented impact assessment, human review of adverse outcomes, and a right to explanation.
- Region 2 requires only that students be notified when AI contributes to a decision.
- Region 3 has no AI-specific rule but has general privacy law requiring student data to remain in-region.

The product team wants to ship one global version to avoid maintaining three products. Engineering estimates that adding human review of adverse outcomes and an explanation feature for all regions adds about 5% to the project cost. Region 1 represents 30% of students.

What should the strategist recommend?

A. Build three region-specific versions so that each region carries only the controls its own regulation requires and no region's students subsidize another region's compliance costs.

B. Adopt Region 1's requirements as the global baseline, and maintain a register of the obligations that differ by region, such as data residency, for separate handling.

C. Launch in Regions 2 and 3 first with the notification feature, and add the Region 1 controls in a later release once scoring has proven reliable.

D. Launch the global version with Region 2's notification requirement as the baseline and obtain a legal opinion on whether Region 1's rules apply to a foreign provider.

Question 3.13 · Multiple choice · select ONE

A government benefits agency plans to use a foundation model on Amazon Bedrock to draft correspondence to claimants about their entitlement decisions. Caseworkers will review every letter before it is sent. During the compliance review, the project sponsor argued that because the cloud provider holds the relevant security and privacy certifications for its managed service, the agency's own compliance obligations for the system are satisfied and no further assessment is needed. The agency is subject to public-sector rules on automated decision support, record keeping, and the handling of claimant data.

Which statement BEST describes how responsibility is divided under the shared responsibility model at a governance level?

A. The provider's certifications cover the agency's regulated use because the managed model service is the component that actually processes the claimant data.

B. Responsibility for compliance transfers to the provider under the service agreement, so the agency's review should focus on the contract terms and service levels.

C. The agency should amend the contract so that the provider accepts responsibility for the content of generated letters and their use in decisions.

D. The provider secures the infrastructure and model service; the agency remains responsible for the data it sends and how outputs are used.

Question 3.14 · Multiple choice · select ONE

A consulting firm has deployed a generative AI (GenAI) assistant that uses retrieval augmented generation (RAG) over its engagement document repository so consultants can find prior deliverables quickly. Three weeks after launch, a consultant on a client engagement asked a general question and received an answer drawn from a confidential deliverable for a direct competitor of that client.

The firm maintains ethical walls between competing clients in its document management system, and the consultant did not have access to that folder. An investigation found that the repository was indexed using a service account with access to all folders.

Which governance-level control should the strategist recommend FIRST?

A. Require that the assistant retrieve only documents the requesting user is already entitled to see in the source system, verifying entitlements before indexing.

B. Limit the assistant's index to documents classified as internal or public and exclude all client engagement folders until each client has consented to inclusion.

C. Add a guardrail instruction so that the assistant refuses to disclose content from any document marked confidential unless the user confirms a legitimate need.

D. Log every query and retrieved document and have the risk team review the logs monthly for any retrieval that crosses an ethical wall between clients.

Question 3.15 · Multiple choice · select ONE

A regional airline has adopted a risk classification framework that tiers AI systems by the severity of potential harm to individuals, the degree of automation, and the presence of human review. The governance team has capacity for two full assessments this quarter. The current inventory is:

- A generative AI (GenAI) tool that summarizes internal meeting notes for managers
- A predictive maintenance model that raises component alerts, each reviewed by a licensed engineer before action
- An automated system that decides and pays denied-boarding compensation claims without agent involvement
- A GenAI tool that drafts marketing copy, reviewed by the marketing team before publication
- A crew fatigue scoring model whose output is applied automatically when building rosters

The Chief Operating Officer has asked which two systems the governance team should assess first.

Which pair should the strategist prioritize under the framework?

A. The predictive maintenance model and the crew fatigue model, because both relate to flight safety and carry the highest potential severity.

B. The compensation decision system and the crew fatigue model, because both act automatically on individuals without human review of each outcome.

C. The compensation decision system and the marketing copy tool, because both are customer-facing and therefore carry the greatest reputational exposure for the airline.

D. The meeting summary tool and the marketing copy tool, because GenAI systems carry the highest hallucination risk and are the newest in the inventory.

Question 3.16 · Multiple choice · select ONE

A media company classifies each AI system into a risk tier at intake, and the tier determines which controls apply before approval. Two years ago a content tagging model was classified as low risk because it only labeled video genres for internal cataloging. Since then, without any re-assessment, the same model's outputs have been used to drive recommendations on the company's children's streaming app, and the training data was expanded with user viewing histories. A regulator's inquiry has now asked how the company governs AI used with children.

Which change to the risk classification framework would MOST directly address the gap?

A. Apply a more conservative default tier at intake so that systems that might later expand in scope are classified as high risk from the outset.

B. Re-classify all systems in the inventory once a year, with the governance team reviewing each system's current use against its original tier.

C. Require re-classification whenever a system's use, user population, data sources, or scale changes, with controls updated to match the new tier.

D. Classify every system that uses personal data as high risk, regardless of its use, so that user viewing histories always trigger the full control set.

Question 3.17 · Multiple choice · select ONE

An online marketplace runs a machine learning (ML) fraud model that automatically blocks suspicious seller listings. The model has been in production for 14 months. The platform team reports the following:

- Service uptime and response time are monitored with alerts to the on-call engineer
- The model is retrained twice a year on the latest labeled data
- Seller complaints about wrongly blocked listings have risen 60% in six months, which was noticed by the support team rather than by anyone who owns the model
- No one can state the current false-positive rate or whether blocks are concentrated in particular seller segments

The Chief Product Officer has asked what should be added FIRST to bring the model under adequate risk control.

What should the strategist recommend?

A. Extend the existing technical monitoring to include model inference errors and latency so that the on-call engineer is alerted when the model misbehaves.

B. Increase the retraining frequency to quarterly so that the model keeps pace with changes in seller behavior and the false-positive rate stays low.

C. Define business-outcome metrics such as false-positive rate and blocks by seller segment, with thresholds, a named owner, and an escalation path when breached.

D. Have the support team review a sample of blocked listings each month and raise a ticket to the platform team whenever a wrongly blocked listing is found.

Question 3.18 · Multiple choice · select ONE

A ride-hailing platform uses a machine learning (ML) model to score driver quality, and drivers below a threshold receive fewer trip offers. A fairness audit at launch found no significant difference in scores across driver groups. Eighteen months later, drivers from one neighborhood are twice as likely to fall below the threshold. An investigation recorded the following:

- The model is trained on passenger star ratings, and passengers rate drivers from some backgrounds lower for comparable trips
- Pickup neighborhood was included as a model feature during development
- The platform expanded to two new cities with a different passenger mix after the launch audit
- The model has been retrained monthly on new ratings since launch

Which conclusion should the strategist draw about the source of the bias and the mitigation required?

A. The launch audit passed, so the disparity is a retraining problem; the model should be rolled back to the launch version and retraining paused.

B. The bias originates in passenger ratings, which the platform cannot control, so the mitigation is to disclose to drivers how scores are calculated.

C. The neighborhood feature is the cause; removing it will resolve the disparity and the monthly retraining can continue without further change.

D. Bias entered at data collection and feature design and has drifted as the passenger mix changed, so fixes must be paired with ongoing subgroup monitoring.

Question 3.19 · Multiple choice · select ONE

A consumer goods company wants a generative AI (GenAI) image tool to create packaging artwork and social media visuals for a new product line. Two vendors have been shortlisted. The procurement summary notes:

- Vendor 1 trains only on licensed and company-owned content, assigns full rights in generated outputs to the customer, and provides intellectual property (IP) indemnity. Annual cost is 180,000 dollars.
- Vendor 2 does not disclose its training data sources, its terms allow it to reuse customer uploads and outputs to improve its models, and it offers no indemnity. Annual cost is 40,000 dollars.
- Both vendors offer content filters, but neither filter is tuned to the company's brand guidelines.

The marketing director prefers Vendor 2 because of the cost difference. The company's brand is its most valuable asset, and it plans to register the new packaging designs as trademarks.

What should the strategist recommend?

A. Select Vendor 2 and rely on the legal team to review each generated design for similarity to existing marks before it is used in packaging or advertising.

B. Select Vendor 1, and add an internal brand-safety and similarity review before publication, because output ownership and provenance matter for designs to be registered.

C. Use Vendor 2 for concept drafts and Vendor 1 for final artwork, so that the lower-cost tool is used for exploration and the indemnified tool for published work.

D. Build an in-house image model trained only on the company's own design archive so that provenance and ownership of all outputs are fully within its control.

Question 3.20 · Multiple choice · select ONE

An automotive dealership group uses a machine learning (ML) model to set prices for used vehicles across 60 locations. Over the past three months, the share of vehicles sold within 30 days has fallen from 71% to 58%, and sales managers are overriding the model's price on a growing number of vehicles. A review found:

- The model and its prompts have not been changed since deployment 14 months ago
- A third-party data feed changed format eight weeks ago, and mileage is now missing for about 30% of incoming records
- Demand for electric vehicles in the group's region has shifted noticeably over the past six months
- A separate generative AI (GenAI) tool that writes vehicle listings has occasionally described features a vehicle does not have

The Chief Financial Officer wants the pricing problem fixed and has asked what should be done FIRST.

What should the strategist recommend?

A. Retrain the pricing model on the most recent three months of sales so that it reflects the shift in regional demand for electric vehicles.

B. Restore the mileage data in the feed, then re-evaluate the model's accuracy before deciding whether drift from demand changes also requires retraining.

C. Replace the pricing model with a GenAI assistant that can reason about current market conditions rather than relying on historical sales patterns.

D. Require a sales manager to review and approve every model-generated price until the reasons for the decline are fully understood.

Domain 4: Business Readiness, Leadership, and AI Transformation (24%)

Question 4.1 · Multiple choice · select ONE

A life insurer is using the AWS Cloud Adoption Framework (AWS CAF) for AI to structure its transformation program. The Chief Risk Officer has been asked to lead a workstream whose first deliverables are a register of every model that influences an underwriting or claims decision, a documented approval path that each model must pass before it reaches production, a lineage record that links each model to the data it was trained on and the person accountable for its outputs, and a quarterly review in which the board sees which models are in use and which have been retired. The workstream does not cover how models or data are protected from unauthorized access, and it does not cover how models are monitored once live.

An AI business strategist is mapping this workstream to the AWS CAF for AI perspectives so that it can be resourced correctly. Which perspective does this workstream MOST directly belong to?

A. Business, because the register and board review connect model usage to business outcomes and investment decisions.

B. Security, because the lineage record and approval path control which models and data are allowed into production.

C. Governance, because the register, approval path, lineage and accountability record are risk and portfolio controls.

D. Operations, because the quarterly review and retirement tracking manage models across their production lifecycle.

Question 4.2 · Multiple choice · select ONE

A mining company's executive team spent two months with external advisors and agreed that AI should be used to reduce unplanned equipment downtime and to speed up environmental reporting. The business case for both outcomes was approved by the board, and a sponsor was named. Over the past six weeks the program office has been running workshops with the operations, data, legal and HR leaders to identify which capabilities the company lacks across people, data governance, platform and security; to decide how site engineers will be trained and which roles will change; and to agree a funding model and a set of decision rights. No proof of concept (POC) has been started, and no technology has been selected.

According to the AWS Cloud Adoption Framework (AWS CAF) for AI transformation phases, which phase is the company currently in?

A. Align, because the company is identifying capability gaps and agreeing the change, funding and decision-rights plan.

B. Launch, because named leaders are now actively engaged and the approved business case is being put into action.

C. Envision, because the company is still defining what it must become before any technology work begins.

D. Scale, because the workshops span every function and are designed to prepare the whole enterprise at once.

Question 4.3 · Multiple choice · select ONE

A regional logistics company wants to use a machine learning (ML) model to recommend delivery routes and load plans to its dispatchers. An AI business strategist has completed a readiness assessment and recorded these findings:

- The Chief Operating Officer has approved funding for 18 months and attends the steering meeting personally.
- About 90% of historical shipment data is in a cloud data warehouse; the remaining 10% sits in a legacy depot system scheduled for migration next quarter.
- Dispatchers earn a quarterly bonus based on the on-time rate of routes they personally plan, and two dispatch managers said they would "look at the AI suggestions when there is time."
- There is no agreed process for what happens when a model recommendation conflicts with a dispatcher's judgment, or who is accountable for the outcome.
- Three ML vendors have been shortlisted and one has already run a demo on sample data.

The project team is proposing to spend the next quarter completing the depot data migration so that the model is trained on complete data. Which gap should the strategist advise the company to address FIRST?

A. Define how dispatchers and the model share decisions, who is accountable for results, and how bonuses will treat model-assisted routes.

B. Complete the depot data migration so that the model is trained on the full shipment history before any vendor is engaged.

C. Select the vendor now so that the remaining readiness work is shaped by the capabilities of the chosen product.

D. Stand up a governance committee that includes finance and legal to approve the project before further work begins.

Question 4.4 · Multiple choice · select ONE

A manufacturing company with nine plants has asked an AI business strategist to place it on an AI maturity model and recommend the next priority. The assessment found the following:

- A visual-inspection model has run in production at one plant for 14 months and has reduced scrap by 11% there.
- Four other pilots exist, each built by a different team using different tools; two have been abandoned.
- A central group of three data scientists supports all requests and is the only team able to deploy a model.
- Every model, including the production one, was deployed by hand; there is no repeatable path from pilot to production.
- Value is tracked per project in spreadsheets, and no plant other than the first has asked to adopt the inspection model.

Which assessment of the company's maturity and next priority is MOST accurate?

A. The company is at the experimentation stage; the next priority is to fund more pilots so that additional use cases can be found.

B. The company is at enterprise-scale deployment; the next priority is to optimize the cost of the models already in production.

C. The company is between experimentation and scaled deployment; the next priority is a repeatable path so the second plant needs no bespoke effort.

D. The company is at the scaling stage; the next priority is to establish a center of excellence with representation from all nine plants.

Question 4.5 · Multiple choice · select ONE

A regional bank has strong technology foundations: a modern cloud data platform, a team of eight data scientists, and access to foundation models on Amazon Bedrock. Despite this, four of the last five AI projects were stopped at the compliance review that takes place just before go-live. In each case the model risk team raised concerns about explainability or customer fairness that the project team had not considered, because compliance was only involved once the solution was built. The model risk team, in turn, has no staff with AI experience and takes eight to ten weeks to review each submission. The Chief Executive has concluded that the bank "needs more AI talent" and has approved a hiring budget.

An AI business strategist has been asked to identify the capability gap that is MOST likely preventing the bank's AI projects from succeeding. What should the strategist identify?

A. A people gap in the data science team, which lacks the skills to build models that satisfy a modern compliance review.

B. A technology gap, because the platform lacks the tooling that would produce the explainability evidence reviewers want.

C. A people gap across the business, because line managers do not understand AI well enough to sponsor compliant projects.

D. A process and governance gap, because compliance enters at the end and the model risk team cannot review AI work efficiently.

Question 4.6 · Multiple choice · select ONE

A grocery retailer wants to use machine learning (ML) to forecast store-level demand and reduce waste. Sales, supplier and promotion data sit in three separate systems, and two of them use different product identifiers, so most categories cannot be joined without manual reconciliation. A master data program that will fix the identifiers across all categories has been approved but is expected to take 12 months. The board has said that it will not release further AI funding unless it sees measurable evidence of value within one quarter. The fresh produce category, which accounts for roughly 20% of revenue and most of the waste, already uses a single identifier across all three systems because it was re-platformed last year.

What should the AI business strategist recommend?

A. Defer the forecasting pilot until the master data program has delivered consistent identifiers across every category in all three systems.

B. Run the pilot on fresh produce only, where data already joins, while the master data program starts in parallel.

C. Run the pilot across all categories now, using manual reconciliation of identifiers so that the result is representative.

D. Purchase an external demand dataset so that the pilot does not depend on the quality of the internal product identifiers.

Question 4.7 · Multiple choice · select ONE

A professional services firm launched a generative AI (GenAI) program nine months ago. The Chief Executive is personally enthusiastic, mentions AI in every all-hands meeting and has sent three firm-wide emails encouraging staff to experiment. The six practice leads say they support the program, but none has allocated staff time to it, and the practice-level objectives against which they are measured do not mention AI. A single program manager is driving everything, chasing practices for use cases and losing most of those conversations to billable work. Two early pilots have stalled waiting for subject-matter experts who were never released.

Which action would be MOST effective in sustaining momentum across the firm?

A. Ask the Chief Executive to run a firm-wide town hall that explains the program's goals and publicly thanks the practices that are participating.

B. Name an executive sponsor with budget authority, add AI adoption to practice leads' objectives, and appoint a champion with allocated time in each practice.

C. Engage an external consultancy to deliver the two stalled pilots so that the firm has visible results without drawing on billable staff.

D. Establish a center of excellence staffed by the program manager and new hires so that the practices no longer need to supply their own subject-matter experts.

Question 4.8 · Multiple choice · select ONE

A pharmaceutical company is preparing to move a document-classification model from a successful pilot into production use across its regulatory affairs function. The program office has created a workstream with these responsibilities: defining how the model's accuracy will be tracked over time and what threshold triggers retraining, writing the incident runbook that staff follow when the model produces unexpected output, agreeing service level objectives with the regulatory affairs team, and establishing the business continuity procedure that lets the function keep operating if the model is unavailable. The workstream does not decide which models may be built, does not design the underlying platform, and does not set access controls.

The AI business strategist is aligning the workstream to the AWS Cloud Adoption Framework (AWS CAF) for AI. To which perspective does this workstream MOST directly belong?

A. Platform, because retraining triggers and service levels depend on the capabilities of the technology environment that hosts and serves the model.

B. Governance, because incident procedures and continuity plans are controls that manage the risk of relying on the model.

C. Security, because the incident runbook and continuity procedure protect the function against disruption, misuse and unexpected model behavior.

D. Operations, because the workstream covers how the model is monitored, supported and kept available once it is in production.

Question 4.9 · Multiple choice · select ONE

A telecommunications company has a central AI team and several business units that each hold customer, network and billing data in their own systems. Every AI project begins with a request to one or more units for data access. An AI business strategist reviewed the last eight requests and found the following:

- Each request was negotiated from scratch and took five to seven weeks to resolve.
- The legal team reviewed every request as a new matter, even when the data and purpose matched an earlier request.
- Unit heads said they are not opposed to sharing but are unsure what they are permitted to release.
- Unit heads also said they worry about being blamed if data is misused, and no one in any unit is named to make the decision.
- Two requests were abandoned by the AI team because the project deadline passed before access was granted.

The Chief Data Officer wants projects to start within days, not months, without weakening the units' control over sensitive data. What should the strategist recommend?

A. Establish a data sharing framework with named domain owners, standard access tiers and pre-approved use categories so routine requests do not need negotiation.

B. Consolidate all unit data into a single enterprise data lake owned by the central AI team so that projects no longer need to request access from the units.

C. Route every data request through the Chief Data Officer, who will decide on each case and instruct the units to release the data that is approved.

D. Have the AI team work from synthetic or anonymized extracts generated by each unit so that no sensitive data ever needs to leave the unit's systems.

Question 4.10 · Multiple choice · select ONE

An engineering consultancy abandoned an AI project two years ago after it overran its budget. The project leader left the firm shortly afterward, and the episode is still referred to internally as "the AI write-off." A recent staff survey found that 70% of managers think AI could improve their work, but only two of 40 departments have proposed a pilot in the past year. In interviews, managers said they would rather let another department go first and that a failed pilot would be "career-limiting." The firm's leadership has budget available and wants proposals, but has not spoken publicly about the earlier project since it was closed. The firm's technology team has confirmed that the tools and data needed for small pilots are already available.

Which leadership intervention is MOST likely to address the cultural barrier?

A. Have leadership publicly reframe the earlier project as learning, set explicit limits for small bounded experiments, and recognize documented lessons regardless of outcome.

B. Require every department to run at least one pilot this year and link a portion of each department head's bonus to delivering it on budget.

C. Contract an external vendor to run the first wave of pilots so that internal managers are insulated from the risk of a visible failure.

D. Launch an internal communication campaign that showcases AI successes at peer firms and explains the business benefits of AI pilots to the firm's managers.

Question 4.11 · Multiple response · select TWO

A government agency is building a generative AI (GenAI) assistant that will answer citizens' questions about benefit eligibility. The previous attempt at an AI project in the agency was delivered by the IT department, passed its technical tests, and was then withdrawn one week after launch when the privacy office objected to how conversation logs were stored and the benefits policy team disputed several of the assistant's answers. Neither group had been consulted until the pre-launch demonstration, and when the problems surfaced, nobody could say who was responsible for deciding whether the assistant should stay live. The agency's director has asked an AI business strategist to design the team and accountability model for the new attempt so that the same thing cannot happen again.

Which TWO recommendations should the strategist make? (Choose TWO.)

A. Name a single accountable owner from the benefits business line who is responsible for the assistant's outcomes from design through operation.

B. Assign accountability for outcomes to the IT department, since it builds and operates the assistant and controls the technical risks.

C. Rotate accountability for the assistant between the business, IT and privacy leads each quarter so that every function shares the burden equally.

D. Include the privacy office and benefits policy team as core members with defined decision rights from the first design session onward.

E. Schedule a formal review with the privacy office and policy team at the pre-launch milestone, with authority to delay the launch if they object.

Question 4.12 · Multiple choice · select ONE

An insurer is introducing AI-assisted claims triage over the next 18 months. Leadership's current planning indicates that around 15% of claims-handling roles will change substantially, that most affected staff will be redeployed to complex-claims and customer-contact roles after retraining, and that a small number of roles may not be needed by the end of the period. The detailed role-by-role plan will not be finalized for another four months. In the meantime, rumors have spread that "half the department" will be cut, two experienced handlers have resigned, and the union has written to ask what is planned. The Chief Operating Officer wants to avoid saying anything that later turns out to be wrong.

Which communication approach should the AI business strategist recommend?

A. Wait until the role-by-role plan is final in four months, then communicate the complete picture in a single announcement to avoid any inaccuracy.

B. Communicate now what is known, what is undecided, the timeline, and the redeployment and retraining commitment, with scheduled updates as decisions are made.

C. Communicate now about the productivity and customer benefits of the triage system, and address workforce effects only when individual staff ask their managers.

D. Brief line managers privately on the current planning and let each manager decide what to share with their own team based on local circumstances.

Question 4.13 · Multiple choice · select ONE

A consumer goods company with 4,000 employees has low AI literacy outside its small analytics team. Over the next six months the Chief Executive wants two things: every employee should be able to use approved generative AI (GenAI) tools appropriately and understand the basics of responsible use, and the company should have a pipeline of validated use cases that business teams have shaped themselves. The learning and development budget is modest, and managers have said that staff cannot be released for more than a few hours of training in the period.

Which workforce development approach BEST meets both goals within the constraints?

A. Send 50 high-potential employees to an intensive multi-week technical AI program so that they can return and lead AI projects in their departments.

B. Run a company-wide hackathon in the first month so that use cases emerge directly from staff experimentation with the approved tools.

C. Deliver a mandatory 20-hour AI course to all employees that covers concepts, responsible AI and prompt techniques in equal depth.

D. Give all staff short role-based literacy and responsible AI training, then run a proof of concept (POC) program with a smaller cohort.

Question 4.14 · Multiple choice · select ONE

A hospital network plans to pilot a generative AI (GenAI) tool that drafts clinical visit notes for physicians to review. A readiness assessment recorded the following:

- Physicians are enthusiastic; 60 volunteered for the pilot and the chief medical officer is the sponsor.
- The vendor has been selected, and clinical data in the electronic record system is accessible through an existing interface.
- The IT department has capacity to support the pilot but says it cannot take on another project this year.
- The privacy policy does not yet say whether, or how, patient information may be sent to a GenAI tool.
- No decision has been made about who is accountable when an AI-drafted note that a physician signed contains an error.

The chief medical officer wants to start the pilot in six weeks and has proposed adding contract IT staff so that the department's capacity is not a blocker. Which gap should the AI business strategist identify as the one that MUST be closed before the pilot starts?

A. The IT capacity gap, because without additional contract staff the pilot cannot be supported alongside other commitments.

B. The governance gap, because neither the privacy rules for patient data nor accountability for signed notes has been defined.

C. The cultural gap, because enthusiasm from 60 volunteers is not evidence that the wider physician body will accept the tool.

D. The technology gap, because the vendor tool has not yet been integrated with the electronic record system.

Question 4.15 · Multiple choice · select ONE

A property management company operating in 12 regions has delivered two AI use cases to production in its largest region: a maintenance-request classifier and a lease-renewal propensity model. Both have run for a year, both have measured savings, and both have an operating owner and monitoring in place. Regional managers in three other regions have asked for the same solutions. The program lead has found that each region keeps its data in a slightly different structure, that the original team built both solutions by hand for one region, and that there is no shared funding model, reusable deployment pattern or standard for how regions should adopt a solution built elsewhere.

According to the AWS Cloud Adoption Framework (AWS CAF) for AI transformation phases, which phase should the company move into next?

A. Envision, because the company needs to redefine its target outcomes before investing in regions it has not yet assessed.

B. Align, because the gaps in data structure, funding and standards show that the capability assessment was not completed.

C. Scale, because the solutions are proven and the work now is reusable patterns, standards and funding to expand across regions.

D. Launch, because each new region is effectively a fresh pilot that must prove value locally before the company commits further investment.

Question 4.16 · Multiple choice · select ONE

A hotel group piloted a generative AI (GenAI) guest concierge in three properties for four months. Guest satisfaction scores rose, front-desk call volume fell by 22%, and the general managers of all three properties want to keep it. The Chief Executive has asked for a plan to put the concierge into all 200 properties before the peak season in five months. An AI business strategist reviewing the pilot notes the following:

- Property-specific content (amenities, local recommendations, policies) was written and updated by hand by the central pilot team.
- Two of the three pilot properties are flagship hotels with staff who were hand-picked and trained in person.
- When the concierge gave a wrong answer, the pilot team was alerted by a group chat and fixed the content the same day.
- No one outside the pilot team knows how to update content, and there is no budget line for ongoing support.

What should the strategist recommend?

A. Expand to a next wave of 15 to 20 varied properties while building the content ownership, support model and metrics the full estate needs.

B. Roll out to all 200 properties before peak season as requested, because the pilot has proven its value and any delay forgoes measurable savings.

C. Re-run the pilot in three additional properties for another four months to confirm that the results hold outside flagship hotels.

D. Pause expansion until a center of excellence has been established with the authority and headcount to support all 200 properties.

Question 4.17 · Multiple choice · select ONE

An electricity distribution utility wants to use generative AI (GenAI) to help field engineers retrieve procedures and asset histories from 30 years of maintenance records. Most records sit in on-premises systems, some of which cannot be replaced for regulatory reasons. The utility has no machine learning (ML) operations staff, and its infrastructure team is fully committed to a grid-control upgrade. The Chief Information Officer has asked an AI business strategist to assess what foundational technology the initiative needs. The business wants a working capability within nine months and has not yet defined whether further AI use cases will follow.

Which assessment of the foundational infrastructure requirement is MOST appropriate?

A. The utility needs its own on-premises accelerated computing environment so that all records and models stay within the data centers it already runs.

B. The utility should complete modernization of the on-premises record systems before any AI work so that the foundation is consistent.

C. The utility should buy a standalone vendor application and avoid integrating with the legacy systems to protect the nine-month deadline.

D. Prioritize secure data access from the legacy systems to a managed AI platform, and defer platform build-out until a use-case portfolio justifies it.

Question 4.18 · Multiple choice · select ONE

A university's shared services center processes 200,000 supplier invoices a year with a team of 30 accounts payable clerks. An AI document-extraction solution now reads and codes invoices correctly about 85% of the time; the remaining 15% involve unusual formats, missing purchase orders or disputed amounts that require judgment and contact with suppliers. The finance director does not intend to reduce headcount this year but wants the team's work to change so that the solution's benefit is realized. Clerks are currently measured on invoices processed per day, and several have said they intend to keep checking every invoice because "that is the job."

Which approach BEST transitions the team's roles?

A. Keep clerks verifying every invoice the solution processes for at least a year, then reassess once confidence in its accuracy has been established.

B. Redesign the roles around exception handling, supplier disputes and feedback to improve the solution, and replace the per-day metric with measures that reflect oversight.

C. Route the 15% of exceptions to finance managers, who have the authority to resolve disputes, and reassign clerks to data-entry work in other departments.

D. Allow each clerk to choose how much of the solution's output to review, so that the transition happens at the pace individuals are comfortable with.

Question 4.19 · Multiple choice · select ONE

A media company established an AI center of excellence (COE) two years ago. The COE builds every AI solution itself, from a queue of requests submitted by business units. The Chief Digital Officer has asked an AI business strategist how the COE and its measures should change so that AI can scale across the company. The strategist's review found the following:

- The request queue has 40 items and the average wait before work begins is seven months.
- Three business units have started buying AI tools independently, outside any standards or review.
- The COE reports to the board on the number of models deployed per quarter, which has risen steadily.
- Business units say several deployed models are unused because they no longer match how the teams work.
- Nobody asked the units whether the models were being used after handover.

What should the strategist recommend?

A. Increase COE headcount so that the queue clears faster, and set a board target for the number of models deployed each quarter.

B. Disband the COE and let each business unit build or buy its own AI solutions, so that delivery is as close to the work as possible.

C. Keep the COE as the sole builder, but require each business unit to commit to a quarterly model count and a named user for each model.

D. Shift the COE to enablement with standards and reusable assets, let units deliver with its support, and report adoption and business outcomes instead of model counts.

Question 4.20 · Multiple choice · select ONE

A food distributor is at the experimentation stage of AI maturity. Its strategic objective is to run AI-driven demand forecasting across all 14 depots within two years. A capability assessment found four gaps:

- Data governance: no named owners for product, customer or sales data, and two prior forecasting pilots failed because the data they used was inconsistent across depots.
- Skills: one data analyst, no machine learning (ML) experience in-house.
- Platform: no shared environment for building or running models.
- Change management: depot managers have not been involved in any AI work and are skeptical.

The budget this year funds two investments, with the rest to follow in later years. An AI business strategist must recommend the first two. Which pair BEST fits the company's maturity and objective?

A. An enterprise ML platform and the hiring of a team of ten data scientists to staff and operate it.

B. A company-wide AI literacy program and a center of excellence to coordinate and govern future AI projects across all depots.

C. Data ownership and quality for the forecasting data domains, and one cross-functional team to deliver forecasting at two depots.

D. A vendor forecasting product deployed to all 14 depots, and a change management program for the skeptical depot managers.

Question 4.21 · Multiple choice · select ONE

An airline piloted an AI agent that rebooks passengers after flight disruptions. The airline now wants to use the agent across phone, app and web chat for all hubs. The engineering lead has proposed spending the next two months improving the agent's accuracy on complex multi-leg itineraries before the production launch. An AI business strategist reviewing the pilot noted the following:

- The pilot covered the web chat channel at one hub only.
- A small team of pilot engineers watched every conversation and stepped in when the agent struggled.
- Results were strong: rebooking time fell and passenger satisfaction rose.
- A disruption day across all hubs can generate 50,000 rebooking requests in an hour.
- No one outside the pilot team has been assigned to own the agent once it is live.

The Chief Customer Officer wants to know what MUST be in place before the agent is relied on in production. What should the strategist identify as the MOST important set of requirements to establish before cutover?

A. Improve the agent's accuracy on complex itineraries to the pilot team's target, and then extend the pilot to a second hub to confirm it.

B. Launch all three channels at every hub at once so that the business value is captured before the next disruption season begins.

C. A human escalation path and fallback to the existing process, named production ownership and monitoring, and a defined change-approval process.

D. A steering committee that re-approves the business case and confirms that the pilot's savings assumptions still hold at full scale.

Answer Key & Rationales

Detailed reasoning for each correct answer, with a note on why each remaining option falls short. The exam guide task and skill statement each question targets is shown alongside the answer.

Domain 1: AI Fundamentals and Literacy

1.1 — Correct: D · Task 1.3 · Skill 1.3.2

The pattern (short leases fine, long leases lose content that sits at the end, no errors logged) is the signature of input that exceeds the model's context window and is silently truncated. Splitting the document into sections that each fit the window, summarizing them, and consolidating the results guarantees that every clause is seen, adds only modest cost, fits the three-minute allowance, and needs no ML specialists. The other options either do not address truncation or breach the cost and skills constraints.

Why not the others: *A — Fine-tuning changes how the model writes, not how much input it can read; text that never enters the prompt cannot be recovered, and the firm lacks the ML skills to run it. B — An instruction to prioritize clauses that have already been truncated from the input cannot surface them; prompt wording is not the cause. C — A larger window raises per-request cost beyond the 20 percent ceiling, may still truncate the longest leases, and leaves the firm dependent on a single model's limit.*

1.2 — Correct: C · Task 1.3 · Skill 1.3.2

Behavior that is compliant early and degrades only after many exchanges, with no model change, points to the session history exceeding the context window so that the earliest content, including the governing instructions, is no longer in the prompt. Re-injecting the instructions on every turn and summarizing older history keeps the rules in scope regardless of session length. Because sessions can run for hours, a larger window only delays the same failure.

Why not the others: *A — The model was not changed and the evaluation suite still passes; drift describes degradation from changing real-world data, not the loss of in-prompt instructions. B — Fine-tuning for behavior is costly and slow, and it still would not restore instructions that have fallen out of the prompt in very long sessions. D — A larger window raises cost per turn and only moves the point at which instructions are lost, since some sessions run for hours and the history is unbounded.*

1.3 — Correct: C · Task 1.3 · Skill 1.3.2

At 12 million tokens, the library exceeds any available context window, and even a large fraction of it in every one of 50,000 daily requests would be prohibitively expensive under per-token pricing and too slow for the five-second limit. RAG sends only the relevant passages, keeps cost and latency proportional to the question rather than the library, and meets the 24-hour freshness requirement because changed documents are simply re-indexed.

Why not the others: *A — The library does not fit in any context window, and a Savings Plan reduces the unit price without changing the fact that each request would carry millions of tokens. B — Fine-tuning embeds knowledge imperfectly, cannot cite sources, and a weekly cycle misses the 24-hour freshness requirement for the 60 documents that change each week. D — A curated subset still misses most of the library, grows the prompt size and cost with each addition, and relies on agents to discover gaps after giving wrong answers.*

1.4 — Correct: B · Task 1.2 · Skill 1.2.1

The decision logic is fully specified by the regulator, the inputs are complete structured data, and every outcome must be reproducible and explainable. Those conditions are the textbook case for rule-based automation, which is cheaper, deterministic, and auditable. AI adds value only where judgment or unstructured input is involved, such as free-text claims that the rules cannot resolve, so it belongs in a later phase rather than at the core of the decision.

Why not the others: *A — A GenAI agent introduces non-deterministic outputs into a decision that is fully rule-defined, and sampling 10 percent of decisions does not make the remaining 90 percent reproducible. C — A classification model trained on the inconsistent manual decisions would learn and scale the inconsistency the regulator has already criticized, and it cannot guarantee reproducibility. D — Ranking claims speeds up the queue but leaves the 15-minute manual decision and its inconsistency in place, which is the problem the company needs to solve.*

1.5 — Correct: D · Task 1.2 · Skill 1.2.1

The quarantine decision is a fixed, regulator-defined threshold applied to complete, reliable data, and the auditor requires deterministic, reproducible outcomes. A rule delivers exactly that at negligible cost. The distributor's interest in predicting excursions before they occur is a legitimate ML use case, but it is a different problem with different data needs, so it should be scoped separately rather than used to justify an ML model for the compliance decision.

Why not the others: *A — A learned model's flags are probabilistic and can change with retraining, which fails the auditor's reproducibility requirement for a decision that is already fully defined. B — GenAI adds cost and non-determinism to a numeric threshold check and may misread or omit excursions, which is unacceptable for a regulated release decision. C — This keeps the manual step that causes the delays and missed excursions, and it adds ML cost without automating the decision that needed automating.*

1.6 — Correct: C · Task 1.2 · Skill 1.2.1

Routing into a small, fixed set of categories with a large labeled history is a classification problem. A supervised classification model is the lowest-cost option per item, produces consistent results for identical inputs, and its decisions are easier to explain to the ombudsman than a free-form GenAI output. GenAI options are more expensive per complaint, less consistent, and discard the value of the labeled history.

Why not the others: *A — Zero-shot categorization by GenAI costs more than a cent per item at this volume, varies between runs on similar complaints, and ignores three years of labeled examples. B — RAG improves grounding for question answering, but routing does not require retrieving manual passages, and the cost and consistency concerns remain. D — An agent adds autonomy, tool use, and cost to a step that needs only a consistent label, and its wider actions raise the governance burden without improving routing.*

1.7 — Correct: A · Task 1.2 · Skill 1.2.1

The data supports forecasting where it is most complete and most valuable, the 300 SKUs that drive 60 percent of revenue, which delivers measurable benefit inside the CFO's timeframe without pretending the remaining data is adequate. Fixing the data collection gaps now (stockouts, promotions) is what makes later expansion possible. This phased approach is realistic about data quality while still producing value.

Why not the others: *B — Treating zero sales as zero demand teaches the model that stockouts are periods of no demand, which systematically under-forecasts the items most prone to running out. C — Waiting three years forgoes the value available now on well-documented SKUs; 14*

months is workable for the high-volume items even if it is thin for the long tail. D — GenAI cannot know what was on the shelf in a given week; fabricated stock counts would look complete while adding error that the forecasting model then learns.

1.8 — Correct: D · Task 1.2 · Skill 1.2.1

Learning which items go together and personalizing that to each customer's behavior from a large order history is what a recommendation system does, and no labeled "complementary" data is required because the signal is the co-purchase history itself. New items lack history, so a rule-based fallback covers that gap without reintroducing the manual maintenance the director wants to avoid.

Why not the others: *A — Curated lists cannot personalize to 40,000 customers, depend on the manual upkeep the director has ruled out, and already fail to stay current. B — General knowledge of equipment does not reflect what this distributor's customers actually buy together, and it cannot personalize or learn from the order history. C — Predicting order propensity is a different business question; it identifies who might buy, not which items to suggest at checkout.*

1.9 — Correct: A · Task 1.2 · Skill 1.2.2

What makes the proposal an AI agent rather than a chatbot is autonomy and tool use: it must take actions in airline, expense, and email systems and decide the sequence of steps needed to reach the rebooking goal, operating within escalation boundaries. The chatbot already answers questions and grounds them in policy; it does not act.

Why not the others: *B — Response fluency and context size are properties of the language model; they do not give a system the ability to take actions in other systems. C — The chatbot already uses RAG over the policy; grounding is necessary for the agent too, but it is not what distinguishes an agent from the chatbot. D — A fixed sequence with human approval at every step is workflow automation; it lacks the autonomy that defines an agent and would not reduce agent workload.*

1.10 — Correct: B · Task 1.2 · Skill 1.2.2

An AI agent is defined by autonomy in pursuit of a goal, the use of tools to act, and the ability to orchestrate multiple steps and decide what to do next. Only proposal B exhibits these: it selects which tools to use, sequences them based on intermediate results, and decides when to stop or escalate. The others are a fixed workflow, a question-answering assistant, and a model plus a rule, none of which decide their own course of action.

Why not the others: *A — A predetermined sequence with confidence-based routing is workflow automation; it uses AI components but makes no autonomous decisions about what to do next. C — Retrieving records to answer a question is a GenAI assistant with retrieval; it informs clerks but takes no action and pursues no goal. D — A scoring model with a threshold rule is predictive ML plus rule-based automation; it has no tool use or multi-step orchestration.*

1.11 — Correct: B · Task 1.1 · Skill 1.1.4

With a 12 percent no-show rate, a model that never predicts a no-show scores 88 percent, so headline accuracy says little about usefulness, and 99 percent is not a meaningful or realistic threshold for predicting human behavior. The strategist's job is to reset expectations: measure against the existing 62 percent baseline and define success in terms of the business trade-off between an empty slot and a double-booked patient.

Why not the others: *A — More data improves models at the margin, but no amount of data makes individual human behavior 99 percent predictable; committing to the number sets the program up to fail. C — Reviewing every prediction removes the efficiency the model was meant*

to deliver and still does not make the 99 percent figure a sensible measure of value. D — The model already outperforms the 62 percent staff baseline; abandoning it because an arbitrary target is unreachable discards real value.

1.12 — Correct: B, C · Task 1.1 · Skill 1.1.5

A model trained on historical decisions learns the historical process, including its blind spots. Because declined applicants have no outcomes, the model cannot learn whether they would have repaid and will tend to replicate the old decline pattern. Missing data that is concentrated in one applicant group is not random; dropping or naively filling those records teaches the model a distorted picture of self-employed applicants. Both issues directly shape what the model learns and must be addressed before training.

Why not the others: *A — Mixed economic conditions are useful variation rather than a defect; discarding half the history to avoid them removes signal without fixing the selection problem. D — Policy changes affect how outcomes are interpreted, but they do not make older records unusable; this overstates a manageable issue into a blocking one. E — Branch code inconsistencies are a data-cleaning task for one field; making the whole project wait on an enterprise program is disproportionate.*

1.13 — Correct: C · Task 1.1 · Skill 1.1.5

A model trained on historical decisions learns the decisions, not an objective truth; if underwriters systematically loaded certain postcodes, the model will reproduce that pattern consistently and at scale, which makes it less visible rather than less present. The strategist should insist that the training data be examined and that outputs be tested for unfair patterns before deployment.

Why not the others: *A — Averaging across underwriters removes individual quirks, but a pattern shared across the underwriting team for eight years is exactly what the model will learn. B — More years of the same decisions reinforce the pattern rather than dilute it; the bias is in the process that generated the data, not in its volume. D — Claims outcomes are a better target, but the historical claims themselves reflect which risks were accepted and at what price, so fairness testing is still required.*

1.14 — Correct: A · Task 1.3 · Skill 1.3.1

The symptoms (inconsistent tone, inconsistent length, invented features) are what an underspecified prompt produces. Basic prompt engineering, meaning clear instructions on role and format, the specification sheet as the sole source of facts, and a couple of exemplars, addresses all three within days and at no additional cost, which fits the deadline and budget. Model adaptation should be considered only if a well-designed prompt proves insufficient.

Why not the others: *B — Fine-tuning needs budget and time the team does not have, and it does not stop invented features unless the model is also given the product's facts in the prompt. C — RAG is designed for retrieving from a large corpus; here each product's facts are already known and can be placed directly in the prompt. D — A larger model still has no instructions and no facts to work from, so the drafts would remain inconsistent and fabricated features would persist.*

1.15 — Correct: B · Task 1.3 · Skill 1.3.3

Frequently changing knowledge that must be cited and current within a day is the case for RAG: retrieved passages carry their source and can be re-indexed on change. Style is a behavior, which prompt instructions and exemplars often capture adequately, and fine-tuning for style is the costlier fallback. This sequencing meets the timeline and budget while keeping the more expensive technique in reserve.

Why not the others: *A — Fine-tuning embeds knowledge imperfectly, cannot cite sources, and monthly retraining misses the one-day freshness requirement for documents that change throughout the month. C — Two thousand documents will not fit in a prompt, and a curated subset leaves most questions unanswerable until a consultant reports the gap. D — Fine-tuning for style first spends budget before knowing whether prompting suffices, and manually supplying documents does not scale across 2,000 of them.*

1.16 — Correct: D · Task 1.2 · Skill 1.2.3

A model whose code is unchanged can still degrade because the world it predicts has changed: new depots, a different customer mix, and altered scan events are classic sources of drift. The right response is to confirm the degradation against the launch baseline, understand which inputs have shifted, and put ongoing monitoring with a retraining trigger in place so that future drift is detected from metrics rather than from complaints.

Why not the others: *A — Passing tests show the code works, not that the predictions are still accurate; this ignores the possibility of drift and shifts blame to operations. B — Retraining may well be needed, but doing it once without measurement or monitoring leaves the company to discover the next degradation the same slow way. C — A rebuild is the most expensive response and still lacks monitoring, so the replacement model would drift just as silently as the current one.*

1.17 — Correct: B · Task 1.2 · Skill 1.2.4

Shadow AI thrives when staff have a need and no sanctioned path. A transparent classification (approved, under evaluation, blocked) with published criteria gives staff a legitimate option now, makes clear which tools may never see client data, and provides a route for new tools to be assessed rather than used covertly. It addresses the contractual exposure without the productivity loss and workaround behavior that a blanket ban would cause.

Why not the others: *A — A blanket ban with no sanctioned alternative drives usage onto personal devices where the firm has no visibility, which worsens the client data exposure. C — Training alone leaves client data flowing to uncontracted consumer tools, which breaches the firm's client contracts regardless of staff intent. D — A single approved tool with no evaluation path means every unmet need becomes shadow AI again; the classification needs an "under evaluation" route to stay credible.*

1.18 — Correct: A · Task 1.1 · Skill 1.1.2

The three initiatives belong to different categories. Generating personalized text is a GenAI task suited to the subscribed platform. Predicting component failure from historical sensor data is classic predictive ML, which needs that structured history and data science skills. Rostering under union and legal rules is a constraint-based optimization problem that is deterministic and rule-driven, not a learning problem. Treating them as one platform and one team misallocates budget and skills.

Why not the others: *B — GenAI is not a general substitute; it cannot learn failure patterns from sensor history or guarantee that a roster satisfies hard legal constraints. C — Rostering is not prediction; it is optimization against fixed rules, and the rules must be satisfied exactly, which a*

learned model cannot promise. D — A roster is not generated content; it is a solution to constraints, and labeling it GenAI would lead the airline to apply the wrong tool to a compliance-critical task.

1.19 — Correct: A · Task 1.1 · Skill 1.1.6

The two standards serve different purposes. ISO/IEC 42001 specifies an AI management system that an organization can be certified against, which is what independent customer assurance requires. ISO/IEC 23053 is a framework and vocabulary for describing ML systems; it is not a certifiable management standard, but it directly addresses the inconsistent terminology slowing design reviews. Using both in their intended roles answers both pressures with one coherent program.

Why not the others: *B — ISO/IEC 23053 is a descriptive framework rather than a management system standard, so there is no certification against it to offer customers. C — The standards are not interchangeable, and choosing by customer preference ignores that only one of them provides the certifiable assurance customers are asking for. D — The Responsible AI Lens is useful internal guidance but is not an independent certification, so it does not satisfy the supplier questionnaires.*

1.20 — Correct: C · Task 1.1 · Skill 1.1.3

Unstructured data is not unreliable by nature; it is where much of the business signal lives, and natural language processing can extract features such as liability disputes or injury mentions from the notes. A brief analysis confirms where the predictive signal sits before committing scope, and including note-derived features in the first release is feasible within a quarter. Photographs can reasonably wait, since they were not identified as the primary signal.

Why not the others: *A — Shipping a model without the data that carries the main signal is likely to miss the misrouting target and discredit the program before the enhancement arrives. B — Rejecting the structured data and demanding GenAI over everything, including photographs, adds cost and risk to the first release without evidence that it is needed. D — Making adjusters manually restructure their notes adds handling time to every claim and depends on consistent recoding, when extraction from the notes avoids both.*

Domain 2: AI Strategy and Business Value Creation

2.1 — Correct: B · Task 2.1 · Skill 2.1.2

The binding constraint is a fixed regulatory deadline with no prescribed detection rate, and the downside of lower accuracy is bounded because flagged claims go to a human investigator. Only the vendor path is reliably live before the deadline, and buying now preserves the option to build later with real evidence of where the vendor falls short. The internal and partner paths both miss or crowd the deadline and the internal path also sacrifices a board-level priority.

Why not the others: *A — A 9 to 12 month build cannot meet a five-month regulatory deadline and pulls the team off a project the board has prioritized. C — A seven-month partner build also misses the deadline, and the accuracy gain is not required by the regulation that drives the timeline. D — Relying on an extension that may not be granted converts a solvable delivery problem into a compliance risk.*

2.2 — Correct: A · Task 2.1 · Skill 2.1.2

The deciding constraint is an explicit accuracy threshold grounded in recall economics, and both vendors have said they cannot meet it with the plant's data. The manufacturer has the three things that make a build viable: a capable internal team, a large labeled dataset, and no deadline

pressure. Higher cost and seven months are acceptable trade-offs when the alternative fails the stated requirement.

Why not the others: *B — Keeping an inspector on the line defeats the purpose of the initiative and still pays for a product that fails the stated threshold. C — A refund clause transfers money, not risk; the vendors have already said the gap is structural, so the plant would wait a year to be back where it started. D — The vendors attributed the shortfall to the substrate, not sample size, so a longer trial is unlikely to change the result and delays a decision the data already supports.*

2.3 — Correct: A · Task 2.1 · Skill 2.1.2

Data residency is a legal constraint, not a preference, so a vendor hosted abroad is excluded regardless of accuracy and contractual promises. The network also lacks ML skills and has a six-month target, which rules out a 14-month internal build. The partner path keeps data in the network's own in-country account, which is demonstrable to the regulator, and fills the skills gap with a managed service; the accuracy gap is addressed through a pilot rather than by violating residency.

Why not the others: *B — Contract clauses do not change where the data is processed, and the regulation requires demonstrable in-country processing, not assurances. C — A 14-month build with staff not yet hired misses the clinical timeline and the residency goal is achievable without full ownership. D — De-identified pilots still create a dependency on an offshore product that cannot go to production, so the pilot proves an option the network cannot adopt.*

2.4 — Correct: A · Task 2.1 · Skill 2.1.2

Several constraints pull in different directions: immediate support pressure favors speed, brand and growth favor control, and the absence of ML skills argues against taking on maintenance today. A staged path resolves them by buying now to address the overloaded team and deferring the build until real usage data and developer capability justify it. Costs are close enough over three years that neither option wins on price alone, so sequencing is the discriminating factor.

Why not the others: *B — Handing a custom system to two developers with no ML experience creates an unfunded maintenance burden, and the behaviors worth controlling are not yet known. C — A three-year lock-in ignores the stated growth and brand considerations and removes the option value that the vendor path provides. D — Delaying leaves the support team overloaded for a term or more and treats skills as a prerequisite when a vendor can deliver relief in six weeks.*

2.5 — Correct: D · Task 2.1 · Skill 2.1.4

The complaint growth is a symptom of a broken process and a contract gap, not of a capacity problem that AI should absorb. Most of the volume disappears if the booking system reflects the real cut-off and the carrier is held to service terms. Automating the apology would make the company more efficient at handling complaints it should not be receiving, so the correct sequence is to fix the cause and measure what remains.

Why not the others: *A — Automating the handling of avoidable complaints locks in the cost of a defect that a data correction removes outright. B — The carrier problem is a contractual one that service-level terms address; an agent would manage the symptom indefinitely. C — Predicting misses caused by a known systematic data error is unnecessary because the error itself can be eliminated.*

2.6 — Correct: C · Task 2.1 · Skill 2.1.4

The eligibility decision is a deterministic rules problem: the criteria are published, the inputs are structured and available, and the regulator demands explanations traceable to those criteria. Rules-based automation gives exact, reproducible and appealable outcomes at a fraction of the

cost and risk. The one part of the request where prediction adds value, finding non-applicants who may be eligible, is a separate and optional later step.

Why not the others: *A — Learning from past decisions imports staff inconsistencies and produces outcomes that cannot be defended by reference to the published criteria. B — Generating a justification for a decision that is already fully determined by rules adds cost and hallucination risk without improving the outcome. D — Proactively applying a discount on a probabilistic judgement creates regulatory and financial exposure and does not address the application decision itself.*

2.7 — Correct: A · Task 2.1 · Skill 2.1.4

The evidence shows that effort is not the barrier: logging takes three minutes, a simpler form changed nothing, and managers actively discourage use. This is a change-management problem presented as a tooling request. Until the records are used in decisions that matter to representatives and managers, a faster way to create them will not be adopted; AI assistance can be reconsidered once the behavior is established.

Why not the others: *B — The representatives' stated reason for not logging is irrelevance, not effort, so cutting effort further addresses the wrong constraint. C — Order data lags the pipeline and cannot show opportunities not yet won, so the model would not deliver pipeline visibility. D — Paying for data entry produces compliance rather than useful records and bundles an unneeded tool with a blunt incentive.*

2.8 — Correct: C · Task 2.1 · Skill 2.1.3

Prioritization weighs value against feasibility, data readiness and strategic alignment under current constraints. With engineering capacity consumed for nine months, only Initiative 2 is both feasible now and aligned with the cost-to-serve priority. Its lower headline value is outweighed by near-certain delivery; the higher-value candidates are either misaligned with strategy or blocked by data and capacity until the migration finishes.

Why not the others: *A — Low data readiness and weak strategic fit make the highest nominal value the least likely to be realized this year. B — A feasibility rating that depends on a nine-month migration leaves almost no delivery window in the fiscal year, so value would slip. D — Weak strategic fit means the bank would spend its only slot on an initiative that does not advance its declared priority.*

2.9 — Correct: A · Task 2.1 · Skill 2.1.3

The pilot shows strong value against a control group, falling override rates that indicate adoption, and a favorable cost-to-benefit ratio, which supports scaling. The one weakness is specific and explainable: event-driven demand at resort properties with no event data. A scale decision should therefore be segmented, expanding where the evidence is strong while treating resort sites as a separate, data-conditioned phase.

Why not the others: *B — Pausing withholds proven value from more than 100 city properties to resolve a problem confined to one segment. C — Scaling to the 30 resort sites with a known data gap repeats the festival failure at larger scale. D — A missing data feed is a readiness gap, not a model defect, and terminating discards a 6.2 percent uplift against control.*

2.10 — Correct: D · Task 2.1 · Skill 2.1.3

The current initiative is clearly value-positive and should run until the business it serves ends, because terminating early forfeits roughly $300,000 of net annual value. The extension is not a scale decision at all: different regulators and formats mean the adaptation is a new initiative with

its own costs and uncertain transfer, and it should compete in the portfolio on its own merits rather than ride on the sunk success of the original.

Why not the others: *A — Different regulators and request formats mean the transfer is unproven, so scaling on the original's evidence overstates the case. B — Terminating a tool that returns several times its run cost during the remaining 18 months destroys value for no benefit. C — Pausing a working tool with 90 percent adoption removes value immediately and conflates the current scope with a separate expansion decision.*

2.11 — Correct: B · Task 2.1 · Skill 2.1.5

A transition between AI platforms with 35 percent of contacts at stake needs a performance comparison against a baseline before full cutover, and it should avoid the peak period where a quality drop is most costly. Parallel running inside the contract window uses the overlap the agency already pays for, surfaces prompt and guardrail differences on real traffic, and preserves rollback. Cost and log export are real factors but secondary to continuity of a channel of this size.

Why not the others: *A — A single cutover just before the busiest period concentrates all the risk of rewritten prompts and guardrails at the worst possible time. C — Tuning behavior in production for a channel this large exposes customers to regressions that a parallel run would catch first. D — Waiting for contract expiry removes the fallback entirely and does not avoid the export fee, which applies regardless of timing.*

2.12 — Correct: A · Task 2.1 · Skill 2.1.5

The data readiness finding is decisive: the model was measured on a biased sample because 40 percent of requests, the non-escalated ones, carry no label, so the 88 percent figure does not describe performance on the full stream. With no cost pressure and legal consequences for urgent misclassification, the right first step is to close the labeling gap and measure performance in shadow mode against the current process before transitioning anything.

Why not the others: *B — The model cannot reliably tell urgent from non-urgent if it was never evaluated on the unlabeled non-escalated population. C — Reviewing every urgent classification assumes the model correctly identifies them as urgent, which the biased evaluation has not shown. D — Contract terms do not change the data problem, and there is no cost pressure that justifies accelerating ahead of readiness.*

2.13 — Correct: C · Task 2.1 · Skill 2.1.1

Mapping AI capability to business outcome means choosing the use case whose mechanism acts on the stated driver. Margin is falling because of warranty and return costs, and most of those costs trace to a small number of recurring defects. Only the R&D proposal reduces that cost at its source; the other candidates improve efficiency or revenue in ways that leave the margin driver untouched.

Why not the others: *A — Development cost is not the stated margin driver, and throughput gains do not reduce defects shipped. B — Handling return tickets faster lowers support cost but leaves the 4.5 percent of revenue lost to returns unchanged. D — A conversion lift grows revenue but does not improve gross margin when the extra units carry the same return rate.*

2.14 — Correct: C · Task 2.2 · Skill 2.2.1

A balanced KPI set pairs tangible measures that finance will recognize, cost per inquiry and resolution rate, with intangible outcomes the sponsor specifically asked to capture, citizen satisfaction and officer workload. The other sets lean on usage and activity measures, which show that the tool is being used but not whether it is delivering either kind of benefit.

Why not the others: *A — Prompt counts and volume are activity measures, and the set has no intangible benefit at all. B — Officers trained and active users are adoption inputs rather than outcomes, and no intangible benefit is represented. D — This set captures intangible benefits well but has no tangible cost or productivity measure for the budget case.*

2.15 — Correct: A, B, D · Task 2.2 · Skill 2.2.4

Leading indicators are observable early and predict the outcome: whether planners actually use the forecast, how often they override it (a signal of trust and model fit), and whether the input data feeds are healthy all show months in advance whether year-end inventory benefits are likely. Carrying cost, inventory turns and write-offs are lagging indicators that confirm the result after it is too late to adjust funding.

Why not the others: *C — Carrying cost at year-end is the outcome itself, measured after the fact. E — Audited inventory turns are the definitive lagging result and cannot inform monthly funding decisions. F — Write-offs at year-end record the consequence of past decisions rather than predicting future performance.*

2.16 — Correct: B · Task 2.2 · Skill 2.2.2

Without a measured baseline, the board claim six months later rests on recollection, and a self-reported survey cannot distinguish the assistant's effect from everything else that changed. The CRM holds historical meeting and stage data, but the primary productivity measure, preparation time, has never been captured and can only be established before the tool alters it. A short slip to secure the baseline protects the credibility of the entire value claim.

Why not the others: *A — A survey asking how much faster people feel is not a baseline and will not withstand board scrutiny. C — Meeting counts exist historically, but preparation time, the metric the board will be shown, has no pre-launch record to recover. D — A control group helps attribute effects but still requires the preparation-time metric to be measured in both groups, which this plan omits.*

2.17 — Correct: D · Task 2.2 · Skill 2.2.3

An ROI framework for AI counts benefits that have actually been realized. Time saved only becomes a financial return when it is converted into billable capacity, avoided hiring, or redeployed work; hours that staff simply absorb are a productivity signal, not money. Separating the two is the single revision that most changes the headline figure and the one the CFO will test first. The missing baseline and the understated cost also need fixing, but they are second-order once the benefit is defined correctly.

Why not the others: *A — intangible benefits such as client satisfaction belong in an AI business case; they should be reported alongside the financial figures, not removed. B — discounting the hourly rate or presenting a range does not address the underlying error of counting unrealized savings as return. C — adding implementation effort is a valid correction, but it is a smaller adjustment than redefining the benefit and does not make the summary credible on its own.*

2.18 — Correct: C · Task 2.2 · Skill 2.2.5

The cost driver is behavior: oversized requests and experimental use by people who cannot see what their usage costs. Cost visibility by team, practical guidance on how much context a request needs, and a review of the heaviest usage patterns address the actual drivers without restricting access, which the company has ruled out. This is the basic cost-control discipline a strategist is expected to apply: make cost visible to the people who generate it, then shape behavior.

Why not the others: *A — a hard cap turns the assistant off for everyone when the budget is reached, which sacrifices the productivity gains and penalizes teams with legitimate late-month work. B — a task list with manager approval is the access restriction leadership has rejected, and it adds friction to every request rather than targeting the wasteful ones. D — a smaller model may reduce output quality for editorial work and does nothing about oversized requests and experimental usage, which would continue to grow.*

2.19 — Correct: D · Task 2.2 · Skill 2.2.5

Cost planning for a growing GenAI workload starts with understanding the cost drivers, here agent count and prompt length, forecasting under scenarios, and applying controls that reduce cost per interaction without reducing value, such as trimming context and routing simpler requests to a smaller model. Budget alerts and regular review then keep spend predictable as rollout proceeds. Committing to capacity or capping usage before the usage pattern is understood either locks in cost or damages the value the CFO wants to protect.

Why not the others: *A — A hard cap that queues agent requests degrades the assistant's usefulness, which the CFO has ruled out. B — Committing to fixed capacity before the post-rollout usage pattern is known risks paying for capacity that does not match demand. C — Building a model to save on tokens adds a large, slow investment and skills burden that the cost problem does not justify.*

2.20 — Correct: C · Task 2.3 · Skill 2.3.1

Assessing a competitive landscape means finding where a capability the competitors lack meets a need the market values. The servicing assistant is table stakes that customers do not reward. Broker demand for speed is unmet across the market, and the insurer's unique asset is deep claims data in one niche, so combining them targets a gap competitors cannot quickly close.

Why not the others: *A — Matching a feature that customers rate as unremarkable achieves parity, not advantage. B — A vendor model is equally available to competitors and does not exploit the insurer's proprietary data. D — Summarizing submissions helps underwriters but does not deliver the faster decisions brokers are choosing on.*

2.21 — Correct: B · Task 2.3 · Skill 2.3.2

A business-model transformation changes the value proposition, revenue mechanism and risk allocation. Outcome-based pricing moves the manufacturer from selling equipment and parts to selling a result, with AI prediction making it possible to carry the uptime risk profitably. The other options monetize or exploit the same data inside the existing product-and-service model.

Why not the others: *A — A subscription add-on is a new product within the existing sell-and-service model, not a new model. C — Internal cost reduction is an operational improvement that leaves what the customer buys unchanged. D — Bundling through distributors preserves the current channel and commercial structure.*

2.22 — Correct: B · Task 2.3 · Skill 2.3.3

Sustainable AI advantage rarely comes from the model; it comes from proprietary data that improves with use and from operating processes rebuilt around the AI's output. Competitors can buy the platform but cannot buy 30 months of the grocer's customer feedback, and they must also redesign their operations. These compounding factors make the advantage durable even on a shared platform.

Why not the others: *A — Equal platform access does not give competitors equal data history or a matching operating process. C — A custom model is unnecessary when the differentiation already lies in data and process rather than algorithm. D — This overlooks that the gain is produced by a data loop and process change, not by the vendor relationship alone.*

2.23 — Correct: B · Task 2.3 · Skill 2.3.4

The right investment level follows from industry maturity and competitive dynamics. Low maturity and high switching costs mean there is no urgency to lead, but a potential national competitor means waiting indefinitely is risky. A fast-follower posture uses proven use cases and products where the operator's capability gaps are least costly, builds the sensor and data foundations that any later move needs, and keeps watch on the competitor.

Why not the others: *A — A large first-mover program on patchy data with a cautious leadership and a small team is likely to fail and the market does not reward speed yet. C — Deferring entirely leaves the data foundations unbuilt, so the operator cannot respond quickly if the competitor's capability proves decisive. D — Many unfocused experiments dilute a small team and do not produce the proven deployment or data foundations that position the operator to follow fast.*

2.24 — Correct: C · Task 2.1 · Skill 2.1.5

The value claim depends on data the wholesaler does not have: stock-outs are invisible in the history, so the model would learn that unavailable days had no demand, and the SKU break makes 40 percent of products hard to forecast. Neither gap is permanent. A phased approach fixes the recording and mapping, proves value on clean SKUs, and lets the committee commit to the 20 percent target on evidence rather than assumption.

Why not the others: *A — Launching on history that encodes stock-outs as zero demand will systematically under-forecast, and retraining cannot recover events that were never recorded. B — The data gaps are fixable, so outright rejection forgoes a use case with real value once recording begins. D — Manual review of every forecast removes most of the efficiency benefit and does not repair the historical data the model learns from.*

Domain 3: AI Governance and Responsible AI Leadership

3.1 — Correct: A · Task 3.1 · Skill 3.1.2

The regulatory obligation attaches to adverse decisions. Fast-tracking a payable claim is a favorable outcome that needs no reason codes, so the opaque model can be used where its accuracy delivers value, while any claim it does not clear goes to an adjuster who makes and explains the decision. This confines the explainability requirement to the decisions where it applies rather than sacrificing accuracy everywhere or relying on explanations the model cannot support.

Why not the others: *B — This forgoes the accuracy gain across all claims when the regulation only requires explanations for adverse decisions, which neither model will make. C — Post-hoc explanations for an opaque model are approximations; presenting them to policyholders as the*

principal reasons for scrutiny creates a transparency and veracity risk. D — Disagreement between models is not a reliable trigger for explainability, and the scorecard's reason codes do not explain a decision the other model actually made.

3.2 — Correct: C · Task 3.1 · Skill 3.1.2

Fairness and privacy are responsible AI dimensions, not only legal categories. Varying financial offers using proxies for protected characteristics creates reputational and fairness exposure even where the specific product is outside fair lending rules, and the uplift difference is modest. The reduced model meets the campaign deadline, preserves most of the value, and documents the trade-off so the board can see it was weighed, which is what the risk committee needs.

Why not the others: *A — Monitoring after launch means customers experience any disparity before it is addressed, and a four-week campaign may not surface a statistically clear gap. B — Opt-out shifts responsibility to customers and does not remove the fairness concern for the majority who never change their settings. D — Legality in every state is only one dimension; the fairness concern remains even where the features are lawful, and the pause misses the campaign for no governance gain.*

3.3 — Correct: C · Task 3.1 · Skill 3.1.2

The fairness risk arises from the consequence of a wrong prediction, not from the prediction itself. Using the model for a low-harm action (reminders) until full testing is complete lets the hospital launch within the timeline, gathers real data, and defers the action that could disadvantage patients until the test provides assurance. The reduced pre-launch test covers the subgroups where harm is most likely.

Why not the others: *A — Patients in disadvantaged groups would bear longer waits during the test period, which is the outcome the Chief Medical Officer ruled out. B — A full delay misses the winter peak and ignores that a lower-risk use of the model is available during testing. D — Similar historical no-show rates do not demonstrate that the model's errors are evenly distributed, so the clinics selected may still produce unequal waits.*

3.4 — Correct: D · Task 3.1 · Skill 3.1.1

Veracity and safety are the dimensions at stake. An ungrounded restoration time is a hallucination presented with confidence, and the stem identifies a user group that will act on it with potential physical consequences. The other findings are real but are either already scheduled, already governed by an approved policy, or cosmetic.

Why not the others: *A — Transparency matters, but the disclosure is already in the launch build, so it is a tracking item rather than a blocker. B — Retention has been reviewed and approved by the privacy office; the concern is managed rather than unresolved. C — Tone variation is a quality issue, not a safety or veracity issue, and does not cause harm to users who rely on the answer.*

3.5 — Correct: A · Task 3.1 · Skill 3.1.3

Governance by design means responsible AI requirements shape the project before decisions become hard to reverse. Here the irreversible step is collecting sensor data from employees, which raises privacy, consent, and transparency questions the works council has already raised. Defining those requirements at intake avoids collecting data the program may later be unable to use.

Why not the others: *B — The production gate is too late; by then data has been collected from employees under terms that were never defined, and rework may invalidate the POC. C — Demonstrating value first inverts the sequence and risks a working system built on data the*

organization had no agreed basis to collect. D — Model development starts three months after sensors are deployed, so the privacy and consent decisions would already have been made by default.

3.6 — Correct: C · Task 3.1 · Skill 3.1.3

The two vendors differ on exactly the capability the governance policy requires. Once a vendor is selected, explainability is either available or it is not, and no later phase can add it. Inserting the requirements into vendor selection as scored criteria is the last point at which they can still influence the outcome without restarting the project.

Why not the others: *A — By integration the vendor is chosen; assessing what the model exposes at that stage can only document a gap, not close it. B — Testing confirms behavior but cannot change a vendor's model; a failure there forces either a late re-procurement or launching out of policy. D — Reopening discovery restarts the project when the gap can be closed with targeted criteria in the phase already under way.*

3.7 — Correct: D · Task 3.1 · Skill 3.1.4

Sixty analysts can review about 4,800 transcripts a day, so full review of 40,000 is not feasible, and random sampling alone would miss most of the specific failure types already observed. The appropriate design combines guardrails that prevent the known harm, escalation criteria that send the higher-consequence decisions to a person before they are acted on, and sampling for everything else.

Why not the others: *A — Full review exceeds analyst capacity by nearly ten times and acts after the customer has already received an out-of-policy promise. B — Pre-approval of every response in those categories reintroduces agent latency for a large share of chats and is unnecessary where the request is routine. C — Random sampling is a quality measure, not a safeguard; it does not stop out-of-policy commitments and would catch few of them.*

3.8 — Correct: A · Task 3.1 · Skill 3.1.4

Human oversight should be proportionate to the consequence of an error. Application decisions and rent adjustments affect a person's housing and finances and are hard to undo, so they warrant a human before action; queue ranking and drafting routine replies are low-impact and easily corrected. A criterion based on impact and reversibility is explainable to an advocacy group and scales as new decisions are added.

Why not the others: *B — Accuracy alone does not determine whether a decision should be automated; a highly accurate application model can still produce unacceptable individual outcomes. C — Confidence thresholds address uncertainty, not impact, so a confidently wrong application rejection would proceed without review. D — Late-payment notices and drafted emails are both tenant-facing yet differ greatly in consequence, so the rule groups decisions by channel rather than by harm.*

3.9 — Correct: A, B · Task 3.1 · Skill 3.1.4

The two failures are a hallucinated citation and an out-of-scope answer. Showing retrieved sources and flagging unsupported answers is a hallucination detection control that makes fabricated citations visible at the point of use. Escalation criteria for dosing and adverse event questions keep the assistant away from the topics where an ungrounded answer carries the most risk, while leaving precedent search, which delivers the productivity gain, untouched.

Why not the others: *C — Fine-tuning does not prevent hallucination and removes the retrieved source trail that lets users verify an answer. D — Loading the whole archive into context is not feasible for a large archive and does not stop the model generating unsupported content. E —*

Restricting users reduces the productivity gain and relies on individual vigilance rather than a systematic safeguard.

3.10 — Correct: A · Task 3.2 · Skill 3.2.1

Clear accountability means a named owner for the business outcome, which is the function whose process the model serves. The commercial director owns pricing and therefore owns the result of the model's quotes, including defining the monitoring that would have caught the underpricing, while data science is accountable for the model meeting its specification. Separating the two makes it clear who acts when the business result is wrong even though the model is technically correct.

Why not the others: *B — Data science cannot own commercial outcomes it does not control, and the model met its specification, so the gap was in business monitoring. C — A COE provides standards and shared capability; moving ownership of outcomes away from the business removes the accountability the incident showed was missing. D — Joint ownership by a committee is diffuse accountability, which is the condition that let the problem run for three weeks.*

3.11 — Correct: B · Task 3.2 · Skill 3.2.1

The problems are inconsistent standards, missing visibility, and duplicated spend, all of which are solved by common policy and an inventory rather than by central delivery. A council with cross-functional representation and brand leaders sets the standards and risk tiers all brands must meet, while accountability for each use case stays with the brand that runs it, which is what leadership asked to preserve.

Why not the others: *A — A delivery COE centralizes ownership, which leadership explicitly rejected, and would slow the brands that are already in production. C — An annual audit detects inconsistency after the fact; it does not create the common standard or the live inventory the group lacks. D — A single approver for every project becomes a bottleneck and concentrates accountability in one role rather than in cross-functional representation.*

3.12 — Correct: B · Task 3.2 · Skill 3.2.2

When jurisdictions differ, the usual choice is to design to the most stringent requirement where the incremental cost is small, because the controls it mandates (human review of adverse outcomes, explanations) also reduce risk in the other regions. The 5% cost is marginal against maintaining variants. Obligations that are location-specific rather than feature-based, such as data residency, cannot be solved by a baseline and need their own tracking.

Why not the others: *A — Three variants multiply maintenance cost and create the risk that a student's data or decision is handled by the wrong variant. C — Launching in two regions without human review of adverse outcomes defers controls that reduce harm everywhere, not only where mandated. D — Seeking an opinion on avoiding the strictest regime treats compliance as a minimum rather than a design input, and leaves 30% of students uncovered meanwhile.*

3.13 — Correct: D · Task 3.2 · Skill 3.2.2

Under the shared responsibility model, the provider secures and operates the cloud and the managed model service, and holds certifications for that scope. The customer decides what data enters the system, how outputs are used in its business process, and whether its own regulatory obligations are met. The agency's record keeping, automated decision support, and data handling rules apply to its use of the service and require its own assessment.

Why not the others: *A — Certifications attest to the provider's controls over its service, not to whether the agency's use of that service complies with the agency's rules. B — Compliance obligations attach to the agency as the regulated entity and cannot be transferred by contract. C*

— A provider does not control the agency's prompts, data, or decisions, so it cannot assume responsibility for how outputs are used.

3.14 — Correct: A · Task 3.2 · Skill 3.2.3

The failure is that the assistant has broader access than the user. The control is to make retrieval inherit the source system's permissions so that the ethical walls already in place apply to AI access exactly as they do to direct access. Confirming that entitlements in the repository are accurate before indexing closes the gap at its origin rather than relying on the model or after-the-fact review.

Why not the others: *B — Excluding all engagement content removes most of the assistant's value when the real problem is permission inheritance, not the content itself. C — A model instruction is not an access control; it can be bypassed by phrasing and gives the model, not the firm, the decision on disclosure. D — Monthly log review is a detective control that identifies breaches after a competitor's confidential material has already been shown.*

3.15 — Correct: B · Task 3.2 · Skill 3.2.4

The framework weighs severity, automation, and human review together. The compensation system makes a financial decision about a passenger with no agent review, and the fatigue model directly shapes rosters with safety implications and no human check on each output. Both combine high impact with full automation, which places them in the top tier. The maintenance model is safety-critical but every alert is reviewed by an engineer, which lowers its tier.

Why not the others: *A — Severity alone ignores that the maintenance model's alerts are reviewed by a licensed engineer, which reduces its risk under the framework. C — The marketing tool's outputs are human-reviewed before publication, so its tier is low despite being customer-facing. D — Technology type is not a tiering criterion; both tools have human review and low consequence of error.*

3.16 — Correct: C · Task 3.2 · Skill 3.2.4

The gap is that classification happened once and never followed the system through its lifecycle. The model's purpose, audience, and data all changed, and each of those is a defined trigger in a lifecycle-based framework. Event-driven re-classification catches the change at the point it occurs, rather than relying on initial pessimism or a calendar.

Why not the others: *A — A conservative default burdens low-risk systems with unnecessary controls and still would not catch a change made after intake. B — Annual review can leave a high-risk use ungoverned for up to a year; this system served children for an extended period before any review. D — Tiering on data type alone over-classifies many systems and ignores that the decisive change here was the audience and purpose.*

3.17 — Correct: C · Task 3.3 · Skill 3.3.1

The model is operationally healthy but its business and fairness outcomes are unobserved, which is why a rising harm signal reached the company through complaints. Production risk control requires monitoring the outcomes the model produces, with thresholds that trigger action and an owner who responds. Without that, retraining or sampling cannot tell the company whether the problem is improving.

Why not the others: *A — Technical health is already monitored; the gap is in outcome monitoring, which inference errors and latency do not capture. B — More frequent retraining without outcome metrics cannot be shown to help and may introduce new behavior that nobody is measuring. D — Sampled manual review is a useful supplement but is slow, unquantified, and keeps the support team rather than the model owner as the detection mechanism.*

3.18 — Correct: D · Task 3.3 · Skill 3.3.2

Bias is present at more than one lifecycle stage: the training labels carry passenger rating bias, the feature set includes a location proxy, and the population shift from expansion, combined with monthly retraining, has caused the disparity to grow over time. Because the data keeps changing, a one-time fix is insufficient; subgroup monitoring is needed to detect bias drift as it recurs.

Why not the others: *A — A passing audit at launch does not mean the model was unbiased; rolling back keeps the biased labels and feature and stops the model adapting. B — The platform controls how ratings are used as training labels and which features are included; disclosure does not reduce the disparity. C — Removing one feature leaves the biased labels in place and does nothing about future drift as the population continues to change.*

3.19 — Correct: B · Task 3.3 · Skill 3.3.3

The company intends to register the designs, so clear ownership of outputs and known training data provenance are decisive, and indemnity shifts infringement risk to the vendor. Vendor 2's terms also allow it to reuse the company's uploads, including unreleased product designs, which is a confidentiality exposure. A vendor filter is not a brand filter, so a human review for harmful or off-brand content is still required before publication.

Why not the others: *A — Legal review cannot establish provenance of the training data or cure the terms that give Vendor 2 reuse rights over the company's uploads. C — Uploading product concepts to Vendor 2 during exploration exposes unreleased designs to reuse under its terms, so the split does not avoid the risk. D — A custom model is costly and slow, and the company's own archive is too narrow to produce the range of new visuals marketing needs.*

3.20 — Correct: B · Task 3.3 · Skill 3.3.4

Three reliability risks are present: data quality degradation, possible model drift, and hallucination in a separate tool. The missing mileage field is the most recent, most specific, and most directly damaging change for a pricing model, and it is a known defect that retraining would bake in. Fixing the input first and re-measuring isolates how much of the decline is data quality and how much is drift, which determines whether retraining is needed.

Why not the others: *A — Retraining on records with 30% missing mileage trains the model on corrupted data and may make prices worse, not better. C — Replacing a predictive model with GenAI does not address the broken data feed and introduces hallucination risk into pricing. D — Universal manual review is a stopgap that hides the problem behind overrides and does not fix any of the identified causes.*

Domain 4: Business Readiness, Leadership, and AI Transformation

4.1 — Correct: C · Task 4.4 · Skill 4.4.1

Model inventories, approval gates, lineage and named accountability are the risk management, program management and data governance capabilities that the AWS CAF for AI places in the Governance perspective. The stem explicitly excludes protection from unauthorized access (Security) and live monitoring (Operations), which removes the two adjacent perspectives. The board view is a governance output, not a business-value activity in itself.

Why not the others: *A — The Business perspective is about strategy, portfolio prioritization and value realization; a model register and approval path exist to control risk, not to define or measure business value. B — Security covers protecting data and models from threats and unauthorized access, which the stem states is out of scope for this workstream. D — Operations covers running and monitoring models in production, which the stem also places outside this workstream.*

4.2 — Correct: A · Task 4.4 · Skill 4.4.1

Envision ends when the business outcomes and business case are agreed, which the stem states has happened. Align is where the organization assesses capability gaps across the AWS CAF perspectives, plans the people and governance changes, and agrees how the program will be funded and governed, which is exactly what the workshops are doing. Launch begins when pilots are delivered to prove value, and no POC has started.

Why not the others: *B — Launch involves delivering pilots and initial production use cases; here nothing has been built or selected, so the work is planning, not delivery. C — Envision is complete because the target outcomes, business case and sponsor are already agreed and approved. D — Scale expands proven solutions across the enterprise; the company has nothing proven yet, and enterprise-wide workshops are not the same as enterprise-wide deployment.*

4.3 — Correct: A · Task 4.1 · Skill 4.1.1

The binding constraint is in the people and process dimension: dispatchers are paid for routes they plan themselves, managers have signaled they will ignore recommendations, and no one owns the outcome when human and model disagree. A model trained on perfect data will still deliver nothing if its recommendations are not used. The data gap is visible but small, already scheduled, and does not block a useful first model.

Why not the others: *B — Ten percent of data with a migration already scheduled is not what will stop the project; the model can be trained and improved later, and the migration can proceed in parallel. C — Vendor choice cannot resolve an incentive and accountability problem, and selecting before decision rights are defined risks fitting the process to the product. D — Leadership sponsorship is already strong and funding is approved; adding a committee addresses a gap the assessment did not find.*

4.4 — Correct: C · Task 4.1 · Skill 4.1.2

One model in production with measured value means the company has moved beyond pure experimentation, but hand deployment, fragmented tooling, a single bottleneck team and no demand from other plants mean it has not reached scaled deployment. The missing capability is a repeatable route from pilot to production; until that exists, each new plant is a bespoke project. The right next step is to industrialize the one proven use case before adding more.

Why not the others: *A — A model that has run for 14 months with measured savings is past experimentation, and the company already has more pilots than it can operationalize. B — A single plant with a single hand-deployed model is nowhere near enterprise-scale deployment, so cost optimization is premature. D — Scaling has not begun because no second plant has adopted anything; a nine-plant center of excellence would govern a program that does not yet exist.*

4.5 — Correct: D · Task 4.1 · Skill 4.1.3

Projects are failing at a predictable point for a predictable reason: compliance requirements are discovered after the build instead of at intake, and the reviewing team lacks the AI skills to assess work quickly. That is a process and governance gap, with a narrow skills gap inside the model risk function. Hiring more data scientists adds capacity to the part of the pipeline that is not the bottleneck.

Why not the others: *A — The data scientists are not failing to build; they are building without knowing the requirements, which is a sequencing problem, not a skills problem. B — The stem gives no evidence that tooling is missing; the concerns were not raised until the end because no*

one asked for the evidence earlier. C — Business sponsorship is not identified as a failure point; projects reach the final gate, which means they were sponsored and funded.

4.6 — Correct: B · Task 4.2 · Skill 4.2.1

The decision turns on two stated constraints: the board needs evidence within a quarter, and one high-value category already has data that can be joined. Running the pilot on fresh produce proves value on the data that is ready, targets the area with most waste, and keeps the master data program moving so later categories can follow. Waiting 12 months fails the funding constraint; reconciling by hand for a quarter produces a fragile result that cannot be repeated.

Why not the others: *A — A 12-month wait guarantees the board sees no value within its one-quarter window, and the program could lose funding before any data is fixed. C — Manual reconciliation across all categories is slow, error-prone and not repeatable, so the pilot would be both late and untrustworthy as a basis for scaling. D — External demand data does not solve the internal join problem and would not reflect this retailer's own supplier and promotion behavior.*

4.7 — Correct: B · Task 4.3 · Skill 4.3.1

Enthusiasm from the top is already present and has not translated into released time, because the practice leads are measured on billable work. Sustaining momentum requires sponsorship that controls budget and objectives, and champions inside each practice with time formally allocated. That changes the incentive structure, which is what the stem shows to be missing.

Why not the others: *A — More communication from a Chief Executive who is already visibly supportive repeats what has not worked; the gap is in incentives and allocated time, not awareness. C — Outsourcing delivery produces results without building ownership in the practices, so the dependency problem returns with the next use case. D — A central team cannot supply the practice-specific expertise the pilots are waiting for, and it removes the practices from accountability further still.*

4.8 — Correct: D · Task 4.4 · Skill 4.4.1

Monitoring for drift, incident response, service levels and continuity are the run-state activities that the AWS CAF for AI assigns to the Operations perspective. The stem rules out the adjacent perspectives explicitly: it does not decide what may be built (Governance), does not design the platform (Platform), and does not set access controls (Security).

Why not the others: *A — Platform covers building and providing the data and model infrastructure; this workstream uses the platform but does not design it. B — Governance defines the policies and approval controls for the portfolio; this workstream executes operational procedures for one model already approved. C — Security addresses threats, access and protection of data and models, not availability procedures and performance monitoring.*

4.9 — Correct: A · Task 4.2 · Skill 4.2.2

The delay comes from the absence of ownership and rules, not from unwillingness: no one is named to decide, and legal treats every request as novel. A data sharing framework assigns ownership to each domain, defines access tiers and pre-approves common use categories, so most requests become routine while sensitive cases still get review. That meets both of the Chief Data Officer's constraints.

Why not the others: *B — Centralizing ownership strips the units of the control the Chief Data Officer wants to preserve, and moving the data does not define who may use it for what. C — A single decision-maker becomes the new bottleneck and still leaves each request as a one-off judgment rather than a repeatable rule. D — Synthetic or anonymized extracts limit many use cases and add per-request effort for the units, which does not shorten the start time.*

4.10 — Correct: A · Task 4.3 · Skill 4.3.4

The barrier is fear of failure rooted in a specific unaddressed event, and managers believe failure is punished. Only leadership can change that belief, by naming the earlier project, defining what an acceptable bounded experiment looks like, and visibly rewarding learning rather than only success. Managers already believe AI is valuable, so more persuasion is not the issue.

Why not the others: *B — Mandating pilots and tying bonuses to on-budget delivery reinforces the message that failure is punished, which is the barrier itself. C — Outsourcing shields managers from risk but does nothing to change the belief that proposing a pilot is dangerous, so the fear returns when the vendor leaves. D — Seventy percent of managers already believe AI could help; the survey shows a confidence problem, not an awareness problem.*

4.11 — Correct: A, D · Task 4.3 · Skill 4.3.2

The previous failure had two causes: no one in the business owned the outcome, and the functions with veto power were consulted only at the end. A cross-functional team fixes the second cause by giving privacy and policy experts seats with decision rights from the start, so their concerns shape the design rather than block the launch. A single accountable business owner fixes the first cause; accountability that is shared or rotated is accountability no one holds.

Why not the others: *B — IT accountability repeats the previous model, in which the build was technically sound but the outcome was wrong for the business and for citizens. C — Rotating accountability means no one is answerable for the end result and decisions made in one quarter are owned by no one in the next. E — A pre-launch review is exactly what happened last time; it moves the objection earlier by a week but still treats privacy and policy as gatekeepers rather than designers.*

4.12 — Correct: B · Task 4.3 · Skill 4.3.3

The stem shows the cost of silence: rumors have overstated the effect by a wide margin, experienced staff are leaving, and the union is already asking. Transparent communication means stating the timeline, the expected scale, the commitments already made and what is still undecided, and then updating on a schedule. That is accurate even though the detailed plan is not final, which answers the Chief Operating Officer's concern.

Why not the others: *A — Four more months of silence leaves the rumors unchallenged and will likely cost more experienced staff before anything is said. C — Talking about benefits while avoiding the workforce question is the pattern that creates distrust, and it leaves the answer to rumor. D — Leaving disclosure to individual managers produces inconsistent messages across teams and no single account that the union or staff can rely on.*

4.13 — Correct: D · Task 4.3 · Skill 4.3.5

The two goals need two instruments: broad, short, role-based training reaches all 4,000 employees within the release-time constraint and covers responsible use, while a POC program for a smaller cohort produces business-shaped use cases that can be validated. Layering them keeps the budget modest and gives the POC participants a shared baseline before they build.

Why not the others: *A — A deep program for 50 people leaves the other 3,950 without the literacy the Chief Executive asked for and does not fit the budget or release constraint. B — A hackathon before any literacy training tends to produce shallow ideas and risks inappropriate use, and it does nothing for the staff who do not attend. C — Twenty hours per person breaches the stated release limit and still does not generate a validated use-case pipeline.*

4.14 — Correct: B · Task 4.1 · Skill 4.1.1

The most visible constraint is IT capacity, and the sponsor already has a workaround for it. The binding constraint is that the hospital has no rule for sending patient data to a GenAI tool and no accountability model for errors in signed notes; starting a pilot without either exposes patients and physicians to harm and the network to regulatory risk. Those two decisions are prerequisites, not things a pilot can discover.

Why not the others: *A — IT capacity for the pilot itself is confirmed, and the sponsor has a plan for the constraint; it is visible but not what blocks a safe start. C — Sixty volunteers and an active clinical sponsor are strong readiness signals for a pilot; wider adoption is a scaling question, not a pilot prerequisite. D — The stem states that data is accessible through an existing interface, so integration is not the gap the findings describe.*

4.15 — Correct: C · Task 4.4 · Skill 4.4.1

Launch is complete: two use cases are in production with owners, monitoring and measured value. The gaps the program lead found, inconsistent regional data, hand-built solutions, no funding model and no adoption standard, are precisely the things the Scale phase exists to address so that proven solutions can be replicated across the enterprise. Treating each region as a new pilot would repeat the Launch phase 11 times.

Why not the others: *A — The outcomes were defined and have been validated with a year of production results; revisiting them would discard proven value. B — Align precedes delivery; the company has delivered, and the gaps it now sees are scaling gaps that only become visible once something works. D — Re-piloting proven solutions region by region is the bespoke approach that created the problem; the value has already been demonstrated.*

4.16 — Correct: A · Task 4.4 · Skill 4.4.2

The pilot succeeded because of conditions that do not scale: hand-curated content, hand-picked staff, and same-day fixes by a small team with no budget. Expanding to a larger, more representative wave while building content ownership, support and measurement converts the pilot into a production-grade capability and tests it under realistic conditions. That builds toward the full estate on evidence rather than on the three best properties.

Why not the others: *B — A 200-property rollout on a hand-maintained content process with no support model will fail in exactly the properties that are least like the flagships. C — Another small pilot delays everything and still does not create the ownership, support and metrics that scaling requires; a larger wave answers the same question while building capability. D — A center of excellence may eventually be useful, but pausing until one exists sacrifices momentum and funds structure before the operating model is understood.*

4.17 — Correct: D · Task 4.2 · Skill 4.2.3

The binding constraints are no ML operations staff, no infrastructure capacity, a nine-month window and an undefined future portfolio. The foundational requirement is therefore not compute but connectivity: the records must be reachable securely by a managed platform that the utility does not have to operate. Building infrastructure for a portfolio that does not yet exist would consume the one resource the utility lacks.

Why not the others: *A — Building and running an accelerated computing environment requires the operations staff and infrastructure capacity the utility does not have. B — Some systems cannot be replaced, and modernizing the rest would push well past nine months; data access does not require replacement. C — The value is in the utility's own 30 years of records, so an application that does not integrate with them does not deliver the use case.*

4.18 — Correct: B · Task 4.3 · Skill 4.3.6

The work that remains for humans is the judgment-heavy 15%: unusual cases, disputes and supplier contact, plus feeding corrections back so the solution improves. Redesigning roles around that oversight and collaboration, and replacing a volume metric that rewards re-checking, is what realizes the benefit without reducing headcount. The current metric and the stated intent to re-check everything are the barriers the redesign removes.

Why not the others: *A — Verifying 100% of output for a year duplicates the solution's work and realizes none of the benefit the finance director wants this year. C — Finance managers are the wrong resource for high-volume exceptions, and moving clerks to data entry discards the supplier knowledge the exception work needs. D — Leaving the review level to individual choice preserves the per-day incentive and the "check everything" habit, so the role never actually changes.*

4.19 — Correct: D · Task 4.4 · Skill 4.4.3

A COE that builds everything becomes the bottleneck the stem describes, and a model-count metric rewards output that no one uses. Scaling requires the COE to move from sole builder to enabler, providing standards, patterns and reusable assets so that units can deliver with support, while the feedback loop measures adoption and business results so unused models are visible and corrected.

Why not the others: *A — More builders in a central queue does not remove the structural bottleneck, and a model-count target reinforces the metric that is hiding the adoption problem. B — Removing the COE loses the standards and governance that make unit delivery safe and repeatable; the units are already buying tools in an uncontrolled way. C — Keeping a single builder leaves the seven-month wait intact, and a quota of models per unit measures volume, not value or use.*

4.20 — Correct: C · Task 4.1 · Skill 4.1.4

At the experimentation stage, with two pilots already lost to inconsistent data, the progression pathway starts with the capability that blocked the last attempts: data ownership and quality for the domains forecasting depends on. Pairing that with a small cross-functional team at two depots builds the skills and the depot-manager involvement the assessment found missing, and produces a proven result that justifies platform and wider investment next year.

Why not the others: *A — A large platform and team are enterprise-scale investments; without governed data they would reproduce the earlier pilot failures at greater cost. B — Literacy and a center of excellence coordinate projects that do not yet exist and do nothing about the data problem that caused the previous failures. D — Deploying any product to all 14 depots before the data is consistent repeats the failed pilots at scale, and change management alone cannot fix it.*

4.21 — Correct: C · Task 4.4 · Skill 4.4.5

In the pilot, continuity was provided by engineers watching every conversation, which cannot exist at 50,000 requests an hour. Production-grade operation requires that a failure or overload degrades to the existing process, that someone owns and monitors the agent, and that changes to it are approved through a defined path. Those governance and operational requirements are what make the airline able to rely on the agent; accuracy work can continue in parallel.

Why not the others: *A — Better accuracy is desirable, but it does not address what happens when the agent fails or is overwhelmed, and another hub pilot defers the production question again. B — A single-step launch across every channel and hub removes any ability to contain a failure on a disruption day, which is the scenario the Chief Customer Officer is worried about. D*

— The business case was validated by the pilot; re-approving it does not create the continuity, ownership or change controls that production relies on.

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